APARTMENT CONFIDENTIAL

"INFORMATION SO VALUABLE,
IT SHOULD BE A SECRET!"

john dessauer

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John Dessauer
To contact the author, please go to:
www.johndessauer.com

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Apartment Confidential

“Information so Valuable, it Should be Kept a Secret!” (Shhhh!)

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Introduction

Congratulations!

Welcome to the world of real estate investing where one deal could change your life!

By accepting my invitation to teach you simple principles of real estate investing, you have taken your first step toward big profits and investment success.

The field of real estate investing may seem intimidating at first, but it shouldn't. The reality is that buying duplexes, triplexes, and small apartment properties is much more straightforward than you may think. Even if you have no experience in this business, the information in this Book will prepare you to get started with confidence.

Let me tell you a little about my own experience in this business. I began my real estate career as an entrepreneur in the environmental industry. I went to work in corporate America after I graduated from college, but shortly made the decision to go off on my own.

My environmental company did a lot of things, but one of them was to clean up contaminated soils for projects that would later become real estate developments. I remember particularly working with one of the larger real estate developers in Chicago. I quickly did the math on his benefit of being in real estate, and knew that was the direction that I was going to go in. Real estate in general, trumps most other avenues to gain wealth. I talked about this subject in detail in my first book *Real Estate H2O*.

I worked hard, got a great education in the real estate business, and I loved what I did.

But I had one major frustration.

I was a young entrepreneur and didn't know enough about managing my time in order to start my real estate investing in apartments. I struggled with that at

first, but quickly became organized and focused. Looking back now, I felt like that was a big hurdle to overcome in order to have success in this business.

There are a lot of areas that you can get involved in with real estate investing, but I chose apartment building investing as my avenue. As a kid, in the South Chicago area I always lived in apartment buildings. I got to see all of the tenants, including my mother, struggle to go out and pay rent. Who benefitted in my eyes from that? The apartment building owner! I remember thinking at a young age, "all of the tenants are really working for the owner of the building!" You'll see that in addition to generating income and creating wealth for you, this is a business that can become a legacy to be passed to future generations.

Make no mistake, there were fearful moments and many times when I doubted myself. But I had seen so many examples of other people who had succeeded that I knew it was possible for me as well. I also knew that success in this business is more about taking action and doing something than waiting until you have a perfect plan.

For me, the time had come to follow the words of Dr. Martin Luther King:

"Take the first step in faith. You don't have to see the whole staircase, just take the first step."

I can assure you that I never had the luxury of seeing the entire staircase! But I had faith in my ability to adapt along the way and to succeed. And because I was able to do it, I know that you can too – especially since I am about to share with you all the lessons and insider secrets I learned along the way(shhhh! - Lets keep all of this between ourselves!)

Consider this Book to be the first step toward your prosperous future. Once you have mastered the techniques and strategies presented here, you will be prepared to venture far as an investor in real estate.

Let's detail the steps covered in this Book that will help you become a successful investor within a few short weeks:

- You will learn why buying apartments are the most sought-after

properties in real estate today.

- You will learn how to leverage your time and resources so that you can supplement your income and build your nest egg. That same apartment owner, always told me as a kid "You will never work yourself rich." To get rich, you have to put your money to work for you. And buying rental properties is a great way to do just that.

- You will learn how to keep it simple. Once you have your step-by-step approach down pat, you will be able to repeat your efforts over and over again – as many times as you want – to build your holdings. You can use this information to buy two units, 20 units, or 200 units – whatever you feel comfortable with. And you can grow your business even more quickly as your assets and networks grow.

- You will learn the invaluable methods that I have mastered over almost 20 years in the real estate industry.

- You will learn how to engage the assistance of others to help you reach your goals. Anyone can be successful in this business but having qualified people on your team will catapult you to the finish line.

- You will learn the **fundamentals** that will become the foundation for your investing business, whether you want to follow it full time or part time.

- Best of all, you will learn how you can invest in larger properties without having to do any work! This information alone will put you at a great advantage over the majority of struggling investors. You are going to see secret tips throughout the book. These are real money making ideas that you can put to use immediately! But remember, keep quiet about them, we don't want everyone to know our secrets!

Real estate provides a wonderful opportunity for all types of first-time investors. It is a world of pure entrepreneurism where anyone who is willing

to put in the effort to learn the business and follow some basic procedures can develop a custom-tailored operation to supplement or replace your current income.

The powerful advantage that real estate offers is that there are so many ways to be successful following different strategies. While my program provides a template for a proven system (I proved it on myself!), you are free to deviate from my path and forge your own to make this business work for you.

This is not one of those get-rich-quick schemes that work for one percent of the people one percent of the time – usually by chance. This is a genuine business that you can learn and put into practice – probably sooner than you think. And you will learn everything you need to know to get started right here.



A duplex. My first Multi-Family property in a Chicago suburb..

Secret TIP: While you're learning this business, set aside dedicated time, on a regular basis, for reading this Book and following your first steps to success. Make the effort now to fit this into your life, and watch your life change before your eyes!

Why Should You Listen to John Dessauer? (In His Words…)

I have bought foreclosures, short sales and single family houses, by the dozens. I have done fix and flips, and bought properties directly from banks and other financial institutions. I have bought multi-family units by the hundreds. I have bought office buildings, a retail center, designed and created a successful restaurant, and have done several design and construction projects in the

residential market.

I have negotiated with some of the richest men on the planet. My largest real estate deal was $14,000,000 and my smallest deal was $9,000. I once bought a deal for $3,500,000 and in 18 months turned it into $5,600,000. (I have done several deals like that). I have have had a line of credit approved over the phone for $1,700,000 in 45 minutes(and started to use the money the next day)! I have also had Donald Trump state in the New York Post that I was a real estate expert that you must meet! I have developed innovative investing techniques and systems that have perplexed the most savvy investors, leaving them saying "why didn't I think of that?"

With my environmental company that I started, and later sold, I created $5,000,000 in gross revenues within the first year and a half(from scratch). Most of that coming in a $12,000,000 dollar deal that I did that year with a fortune 500 company when I was working by myself in boxer shorts above my garage. My competitors? Two other fortune 500 companies. I won because I out thought them. Period.

I have personally coached and consulted everyone from factory workers, to doctors to professional athletes. I have made over a million dollars in 4 different companies. I have also written three books, hosted a National Radio show on Sirius XM, and have spoken in front of hundreds of thousands of people. My audiences have mostly been made up of people looking to learn from my experience. It is that experience that is your best teacher. But it's not my successes, but my failures that you should consider why you should listen to me. I have become skilled at failing.

I have had to shut down companies. I have had to renegotiate with banks. I have had real estate foreclosed on. I have made mistakes in developing businesses. I have chosen bad business partners. I have let people down. I have sued and been sued. I have been ripped off by the hundreds of thousand of dollars. I have trusted in people that have had alternative motives. I have wasted money, a lot of money! I have spent money that I did not have. I let other people open my mail. I have made terrible decisions. I bought projects only to fail a short time later. I couldn't pay people. People have not paid me.

It is all of these failures that not only propel me to succeed, but make me a true champion!
I am qualified to work with you because I have walked through the battlefield and survived!
I have studied and worked and read and dreamt and hustled. I am here, and not going away!
I am ready, willing and able to help you go where ever you want to take your career during this crazy thing we call life! Through all of the success and failures, I have realized this:

"Wealth has nothing to do with money, success has everything to do with failure, and life is as simple as you make it!"

We have some great challenges coming our way as a country, as people and as individuals. We can control our destiny by the actions we take! I first want to identify our mistakes and challenges, and then provide solutions. Enjoy!

– Johnny D.

CHAPTER 1

An Overview of Buying Apartments

Despite the setbacks that were realized during the most recent recession, there is no question that investing in real estate is one of the most reliable and steadfast ways to create income and wealth. At the time of this writing, statistics point to the relatively small losses experienced by investors in multi-family dwellings. In fact, many economists are pointing out that the multi-family sector is actually making great strides in occupancy, rent increases, and pricing. It just makes sense: when people aren't buying homes, they still have to live somewhere. **That means that more people are renting.**

There are many ways to invest in real estate. Among the numerous strategies, techniques, and specializations that people can follow are short sales, foreclosures and auctions, flipping and rehabbing. There are various types of properties such as self-storage facilities, retail strip centers and single-family rental homes.

However, there is one type of investment that I have focused on in my own investing career and that I know works: Buying Rental Units!

Over my career in commercial real estate, which has spanned a couple decades, I have worked on many property types: office buildings, office condos, retail strip centers, vacant land, restaurant pad sites, and industrial/warehouse sites. I have experienced first hand all of the necessary tasks required to operate these properties. More important, I have also been responsible for assessing the financial performance of these properties.

As a result, I witnessed the low profit margins that these properties offered. I also saw the difficulties inherent in purchasing or selling these assets, which added to the problems of individual investors.

By contrast, my experience in purchasing apartment properties over the past several years allows me to attest to the relative ease in breaking into this arena and pursuing business there. I wish I had started doing this earlier!

Why Invest in Apartments?

There are a number of factors that make buying apartments a great way to build wealth:

1. You are buying a property where the tenants pay the mortgage for you. That's right. I will show you how to evaluate a property before purchasing it to make sure that it will provide you cash flow to make those payments.

2. The property will provide additional cash flow each month that you own it, and you will also experience a nice pay-day when you sell the property after making value-added improvements and benefiting from appreciation in property value.

3. Tax benefits. There are a number of ways for you to shelter your income using depreciation and write-offs. Engaging the services of a qualified CPA will pay off for you here.

4. You can ease into the business on your own terms. You can start with two units, then use your profits from that to acquire eight units, etc. You will find that running this kind of business is not a huge undertaking and the learning curve is manageable. I have been involved in the acquisition of office properties that take almost a year to close, and I can assure you, the acquisition of multi-family dwellings is much simpler and is a perfect property type for the beginner.

5. Apartments offer a repeatable model. Once you master the fundamentals, you will be able to purchase as many properties as you want. And each time you do the process will become easier and easier.

There are several societal and economic factors that especially favor investing in the apartment sector at this time:

1. A record number of foreclosures have increased the demand for

rentals.

2. More important, the current underwriting requirements of lenders will disqualify many tenants from realizing their goal of owning a home. An entire generation may be precluded from home ownership.

3. Demographic trends: Echo boomers – the children of Baby Boomers – are estimated at over 80 million in number. They are entering their prime rental years (with ages ranging from their 20's to 30's) and this will be a huge boost to demand.

4. Lack of property development and new construction during the past few years will result in increased demand for existing projects. Remember, they don't build Class B and C apartment buildings, just As.

5. For many reasons, including those above, apartment properties are the darling child in commercial real estate right now. You can't pick up a trade publication without reading about all of the activity in the industry. Big … small … private … public … foreign … homegrown … *everyone* wants "in" on apartments.

The one possible drawback to buying apartments is having to deal with the hassles of being a landlord. But I would never ask you to do that! (unless that is your passion!:)

The benefit of this Book is that I will teach you how to be an investor without being a landlord. What's the difference? As an investor, you can manage your investment without talking to tenants or overseeing any of the daily activities of your properties. All you have to do is hire a professional management company to manage your properties for you. If you work out the financials before making the purchase, this service will already be figured into your investment.

In my own experience, I have always managed my own properties. I guess that it is somewhat my passion, but I know that is not for everybody. Today, we

have a national property management firm in which Heather and I have been entrusted to manage millions of square feet of apartment units. Finding the right company is key in managing your investment without giving you the direct hassle. I'll show you how to find the right fit. And once you have a service in place that does a great job, you are in a position to increase your portfolio with ease!

With so much inventory available, the field for acquiring apartments is wide open. Deciding where to invest is completely up to you. I will teach you systems that you can apply in your own backyard. Or you can use them to enter a completely different market. All it takes is a little research, and you will be amazed how easy it is, in this Internet-enabled age.

Acquiring and Owning Real Estate is a Rewarding Business

Whether your efforts are full-time or part-time, owning real estate as an investment is an ideal way to own your own business. This is your opportunity to control your income, future and wealth. The advantage of investing in real estate, as I will teach you to do it, is that anyone can learn the basics without formal schooling, degrees, or even a license.

You can work from home or anywhere you have access to a phone and the Internet while setting your own schedule. I love being able to take a break in the middle of my day to get some exercise, hang out with my family, or just take some time for myself.

Owning a business does require having a grasp of the fundamentals as well as some organizational skills. Being a proactive caretaker of your properties and business will minimize risk and maximize your return. I will show you how to set up systems that ensure that nothing falls through the cracks so you can be as successful as possible.

You can create your own investing business that suits your needs, whether you work independently, pool your resources to partner with other investor(s), or use little to none of your own money by working with private investors. I will show you how all this can be done.

Finally, you may have experience buying property as a homeowner. However, the properties I'll teach you to purchase are for investment purposes only, and not for your own use, and that requires a very different selection process. Therefore, I will show you new ways to evaluate properties to ensure you make wise choices.

Secret TIP: Enhance your image as a business professional. Create a simple logo and incorporate it into your business cards and stationary. Also, acquire a domain for your email i. e. JaneInvestor@MyTownApts.com versus Google or yahoo.com There are several companies that can do this for you. I use godaddy.com for all of my domain creations and they have done a good job through the years.

Making Your Fortune is Simple Math

The primary reason for putting money into any type of investment – from the stock market to bonds and, of course, real estate – is to achieve a substantial return on investment (ROI). ROI is a performance measure used to evaluate the efficiency of an investment or to compare the efficiency of a number of different investments. To calculate ROI, the benefit (return) of an investment is divided by the cost of the investment; the result is expressed as a percentage or a ratio.

Here is the return-on-investment formula for basic investments:

Return On Cash Flow:

$$\text{ROI} = \frac{\text{Cash Flow Annually from the Asset}}{\text{Initial Investment into the Asset}}$$

Return on Gain:

$$\text{ROI} = \frac{\text{(Gain from the Investment - Cost of the Investment)}}{\text{Cost of the Investment}}$$

Evaluating how much an apartment property is worth differs from determining the worth of a single-family home. While the value of single-family homes relies heavily on comparable sales prices in the area, apartment properties are valued on the income stream they create in rent collected versus the cost of buying and maintaining the property.

Multiple ways You Make Money

1. Cash flow

Cash flow is the money you receive from your investment after paying all your expenses and loan payments. This is a fairly straightforward computation.

First you add up the gross annual income from the property (including rent and any other income you receive such as parking fees, late fees, laundry income, security deposit forfeiture, etc.).

Then you deduct from that figure all of the Operating Expenses, including property taxes and insurance.

Next you deduct your annual loan payments (including principle and interest).

The result equals Cash Flow.

2. Appreciation

Appreciation is an increase in the value of an asset over time. The increase can occur for a number of reasons, including increased demand or weakening supply, or as a result of changes in inflation or interest rates.

If you have the good fortune to purchase properties in an emerging market – which is a market experiencing above-average growth – appreciation can be huge! By the way, there are two types of appreciation. The first is natural appreciation. Natural appreciation is where the market naturally increases the value of your asset over time by introducing a higher demand and limited or stagnant inventory, or other areas that would affect value.

The second Forced appreciation is where you purposely drive the value of your asset. In commercial real estate that usually means, driving the Net Operating Income by increase overall operating income and/or reducing operating expenses. If it is residential property that you are looking at, you will want to focus on esthetics or things that drive emotion as this are deals typically with sales comparison.

3. Equity Growth/Amortization

Equity is the part of the value of a property that belongs to you after subtracting the amount you owe for a mortgage. Each time you make a mortgage payment, part of the payment covers interest, and part of it pays down the principal. The amount of principal that is paid down is your equity in the property. This amount grows over time with each mortgage payment. Remember, if you select your properties carefully, your tenants' rents will be making that payment for you! Your equity will grow at no cost to you.

4. Tax Benefits/Depreciation

There are a number of tax benefits associated with buying real estate. These include many allowable deductions for expenses required to operate your property, as well as expenses involved in selling it. Additionally, depreciation, which is a loss on paper due to age, physical deterioration, or functional obsolescence, can be deducted from taxable income, thereby reducing your overall tax liability.

Getting there…Your Roadmap to Apartment Riches

With so many available properties, how do you select the ones that will be best for growing your business? Here are some of the issues you should consider:

1. Property Types

As an investor, you will have different property types to choose from. Which is best for you? A suburban duplex? A small apartment building? We will cover

the various kinds of apartment properties available so you will have the information you need to assess which type of property is the best fit for you.

2. Markets

Every neighborhood has its own character. I will teach you how to evaluate a market or neighborhood and give you pointers so you can invest anywhere you want to. You will be able to buy in your own market or across the country!

3. Team Building

You will not be alone in your endeavors to make your place in the real estate world. We will give you details on all the people who are available to help you succeed. This includes getting help to find the best deals and a coaching program that can walk you through the entire process step by step.

4. Finding the deals

To maximize your results in this business you have to identify the best properties. I will teach you unique ways to attract great deals and uncover the real bargains.

5. Evaluation and analysis

Once you find the deals, you will be able to quickly assess whether an asset presents a viable opportunity using techniques I will give you to evaluate financial performance. And don't worry – there's no need to be a math wiz. The entire process is very straightforward as it's just simple math.

6. Offers and Negotiation

Your efforts to start this business will succeed or fail depending on what happens when negotiating a deal. Many people fear this process. But I will teach you powerful negotiation techniques and strategies that will eliminate your fear and allow you to produce offers that are most favorable to you, and that will be accepted! This is an area where practice can help tremendously, and I will teach you a secret for practicing these techniques so that you will put

your best foot forward when you're ready to make an offer.

7. Due Diligence

You never want to "buy a pig in a poke." Your best protection is your knowledge and your due diligence. I will teach you how to "pull back the curtain" and verify everything that has been represented to you. You will become a forensic accountant by employing simple methods and you will know how to use the services of a trustworthy building inspector who will make sure there are no physical defects before you buy any property.

8. Financing

Thanks to my guidance, you will have handled everything expertly to get to this point. Lenders or mortgage brokers will be eager to work with a professional such as yourself who has done all of your homework and come up with a gem of an investment. I will teach you a few simple things you can do to set yourself apart from the masses of uninformed property investors. Lenders love financing properties found by successful and organized investors like you.

Understanding The Various Property Types

When you consider investing in a property, you should begin your deliberations by categorizing it according to certain common criteria. In this chapter we will look at some of the factors you will want to keep in mind, beginning with the classification type.

Classification Type

Commercial properties are generally categorized as A, B, C, and D class. Knowing the category you want to buy in will help narrow your search for prospective investments.

The criteria according to which properties are classified usually relate to design, functionality, the year of construction, and the building's location. The criteria used to classify properties may differ slightly from market to market, but they typically follow a standard format similar to the following:

- **Class A Properties.** These properties are of modern construction and offer state-of-the-art functionality and architectural design. They are associated with excellent infrastructure, life safety networks, and updated mechanical systems. Class A properties are also located in the most sought-after areas and can boast the best amenities. Not surprisingly, Class A properties tend to command the highest rents. But they also often have a high per door price and a low cap rate, which will means these premier properties may often actually offer a lower return on your investment.

- **Class B Properties.** These properties are usually highly functional, well-located facilities that are more than 20 years old. Class B properties tend to attract high quality tenants who do not want to pay the Class A rent. By and large, these properties have a greater number of blue collar tenants. They may feature a less desirable design and infrastructure than Class A properties, although a well-located B building can be renovated and therefore end up being reclassified as Class A, thus making it an excellent investment.

- **Class C Properties.** Class C properties are usually 25 to 35 years old and have not been extensively renovated. They command the lowest rents and attract a lower-income tenant. A Class C property has the potential to be rehabilitated to B status, depending on the quality of its location.

- **Class D Properties.** Class D properties are typically in poor condition and are located in undesirable areas of a market. I do not recommend you purchase this type of property unless you have vast experience, ample resources to renovate the property, and have a high degree of confidence that the neighborhood is in the process of improving. If the neighborhood is on the way down, stay away.

For the value, I prefer to purchase Class B and Class C properties, as making improvements to these properties can lead to handsome increases in your return as your resale value goes up. If you have a longer timeline and you are comfortable holding your investment while property values naturally increase,

a Class A property would also be an attractive option.

Neighborhoods are also classified as A, B, C, and D, however, this is a subjective way to describe the area by the most prevalent type of properties that exist in the neighborhood.

> ***Secret Tip*:** An old real-estate maxim tells us it is better to buy the least expensive property in a better neighborhood, than the most expensive property in a worse neighborhood. In the same way, ideally, you want to purchase a "B" or "C" property in an "A" or "B" neighborhood.

Other Considerations

Ingress and egress

One important feature of any location is ingress and egress. This is a fancy way to indicate how easy or difficult it is for tenants and visitors to enter and exit a property. For example, is there a simple entry, or is a tricky turn against oncoming traffic required? Is it easy to leave the property, or is it necessary to wait for a break in a heavy flow of vehicles?

I have passed on many deals because it was too difficult to enter or leave the property. You want to give yourself every advantage when it comes to leasing and creating cash flow. There are thousands of deals out there that do not make tenants drive in circles, and there is no reason to settle on someone else's disadvantaged property.

Unit mix or configuration

This refers to the number of each type of unit on a property, i.e. efficiencies, one bedrooms, two bedrooms, etc. Ideally, you want a 2 to 1 ratio: 2 two-bedroom units for each one-bedroom unit, as two-bedrooms are the easiest to lease. Three-bedroom units tend to rent quickly but they also tend to attract large families that can cause wear and tear, which can cost you money in the long run. Preferably, you don't want three-bedroom units to make up more than

about 15% of the property.

Beware of properties that are made up completely of one-bedroom units. These units are difficult to lease and they often have a lot of turnover – which can cost you money in lost revenue and make-ready costs. I have been seeing a lot of buildings that are all one-bedroom, or that have a disproportionate number of one-bedroom units, that are currently being sold as distressed properties. Obviously there is a reason why they are distressed, and it is often the result of an inexperienced investor paying too much for a property with too many one-bedroom units, who is now desperate to divest himself of a "white elephant." You don't want to make the same mistake, so carefully consider the mix of units in any property you are considering investing in.

Current occupancy rate

A property with a low occupancy does offer an opportunity to improve the financial landscape. However it is also a riskier investment, and it is likely that the property will not provide good cash flow for several months. There is nothing wrong with this scenario; you just need to do your homework and make sure you have other positive cash flow projects in your portfolio, or enough funds in reserve to keep you solvent until the property is completely leased.

Part of your initial research when considering making a purchase should include identifying the actual average market occupancy rate for similar properties in the area. For instance, I recently looked into a property that a broker brought to me, saying it was a great deal and all that was needed to make the numbers work was to bring up the occupancy.

It sounded simple enough, however, I was familiar with the area and knew that it was on "Apartment Row," meaning that there was apartment after apartment, block after block, and they were all built about the same time. In a situation like this, to succeed you must find a way to differentiate your property from the competition and give potential tenants a reason to choose you. Think of walking into an ice cream shop that offers three choices: (1) plain vanilla, (2) vanilla with one topping, and (3) vanilla with three toppings and the option to add whipped cream. If you are a property, you want to be like number three.

And, as I just mentioned, I also knew it was important to determine the demand or occupancy percentage within the marketplace (or submarket place). In other words, how does the current occupancy of the prospective property compare to the average occupancy in the surrounding marketplace or submarket? By submarket, I mean a smaller geographic area within a larger market. For instance, Chicago, Illinois could be the marketplace, but your property could be located in the submarket of Lansing, Illinois.

So, back to my example of the deal on Apartment Row: I did some digging and found out that the submarket occupancy was a disappointing 85% – the same as the current occupancy of the property that had been presented to me as such a great deal. I may have a talented management company, but I don't want my investment to hinge on having to outperform the marketplace. Obviously I decided to pass on this "opportunity."

This clearly illustrates why doing your own research before investing in any property is necessary to do well in this business. Just a few phone calls or little digging around online can help you identify which deals are the true stars, and which are best avoided.

CHAPTER 2

How Small Investors Can Make Huge Profits

In the last chapter we touched briefly about how the numbers work. Now let's put what we learned to use to demonstrate how real estate investing is all about the numbers, and how you can use them to make your money work for you.

One way to make money in real estate investing that has gotten a lot of press lately is "flipping" a property for a quick profit. This form of property dealing is a classic example of "buy low and sell higher."

Here's how it works: Let's say you find a property that is in good shape but has a low occupancy – so it's not bringing in the cash it has the potential to provide. The seller needs to sell quickly because he's moving out of state and he doesn't want the headaches of being an absentee owner. To encourage a quick sale, he's willing to discount the property. Seeing this as a great opportunity, you acquire the property for $250,000. Then you immediately put a marketing plan (described within this book) in action to bring your occupancy (and income) up to market levels.

As soon as your efforts have succeeded at making the property more attractive, you put it back on the market. Because the property is now making more money, you are able to sell it for more than you paid for it. For this example, let's say you sell it for $300,000.

In a period of a few months, you are able to realize a profit of $50,000 by acquiring an undervalued property, fixing it up, and then selling it for a higher price. This is "flipping."

Another strategy some real estate investors use is to wholesale properties. We'll explain this further in Chapter 11, but briefly, this is where you get a property under contract, and then before you actually buy it, you flip the contract to another buyer for an assignment fee. For example, you might get a property under contract for $200,000, which you then assign to another

investor/buyer for $218,000, quickly earning you $18,000.

While these forms of flipping are popular with some investors, I have had greater success with another more common strategy, "buy and hold," which is the focus of this Book. With this approach, you purchase a property for the lowest price possible, hold it for say, four or five years, and then sell it for the highest price possible. I have found that in the long run this method yields the best results, and I will teach you how to do it with the least hassle and for the greatest profits.

The Buy and Hold Strategy…Your Ticket to Exceptional Returns

The numbers tell the story of why the buy and hold strategy is so powerful. Let's look at an example of what the numbers might look like if you bought a 20-unit apartment project. Let's say this apartment project has five 1-bedroom units, ten 2-bedroom units, and five 3- bedroom units. The rents are as follows:

Unit Type	Monthly rent	Total monthly rent	Annual Rent
1-bedroom	5 units @ $600/mo	$3,000	$36,000
2-bedroom	10 units @ $750/mo	$7,500	$90,000
3-bedroom	5 units @ $900/mo	$4,500	$54,000
		$15,000	$180,000

Given the realities of business, we have to adjust the maximum potential income by subtracting 10% for vacancies and write-offs (write-offs are rents that are charged but become uncollectible because the tenant leaves without paying and collection efforts failed). That leaves us with collected rentals of $162,000 ($180,000-$18,000).

Now we have to subtract expenses from the rent collected. Assume that expenses equal about 55% of the income (this is higher than typical, but for the purposes of this example, let's assume the owner you bought from did not run things efficiently). Doing the math, we arrive at the following figure:

$162,000 x 55% = $89,100 total expenses.

Now we can calculate the **Net Operating Income** (NOI):

Income	$162,000	
(Expenses)		- 89,100
NOI		$ 72,900

NOI is the amount of money you have before subtracting your mortgage expense and any large, non-reoccurring expenses called capital expenses (like replacing an HVAC unit).

Unless you bought the property with all cash, you will have a mortgage payment. I believe you should never hold a property for any length of time without getting a loan of some amount because this frees up your cash to make additional purchases.

Now, let's assume your monthly mortgage amount is $2,400/month or $28,800 for the year. So, continuing with our calculation:

NOI - annual	$72,900
(Mortgage payment)	-$28,800
Annual cash flow	$44,100

So, right off the bat, you will be putting about $3,700 ($44,100 ÷ 12) in your pocket each month!

But as a good businessperson, our goal is to increase cash flow, so let's see how we can accomplish this. Using the same 20-unit apartment complex as our example, let's assume that the rents currently being charged in your apartment project are $40/month lower than comparable properties in the neighborhood.

That means you can raise your rents by $40 per month and your occupancy should not be affected. So the additional cash flow will be:

20 units x $40 = $800 per month extra income

Now, you are making almost $4,500 per month ($3,700 + $800)!

But now, let's go a step further. Remember, when you bought this property the expenses were running higher than the industry norm due to mismanagement. It is likely that expenses will run at 40-50% of income. So let's say you investigate the situation and are able to reduce expenses by $60/month/unit.

20 units x $60 = $1200 per month savings

Now, you are making $5,700 per month!!

The Amazing "Multiple Factor"

But here is where it gets even better, and this is what makes commercial real estate such a fabulous way to make your money work harder for you: it is called the capitalization rate or cap rate. We will cover this more in Chapter 8, so if this seems a little confusing, don't worry.

The capitalization rate is a formula that is used to value an income-producing property by applying a percentage return to net operating income and looks like this:

$$\text{Cap Rate} = \frac{\text{Net Operating Income (NOI)}}{\text{Value (Asking Price)}}$$

If we assume that in a few years time you will be able to sell your property at a 10% cap rate, this means that for every dollar more the property makes from rental income, it is worth $10 more in value. I like to think of it as the 10 to 1 factor.

Don't think that sounds like much? Let's go back to our 20-unit apartment complex example:

20 units

We raised rents by $40 per unit per month.

We reduced expenses by $60 per unit per month.

Essentially, we have increased our NOI by $100 per unit per month =

20 units x $100 per month x 12 months = $24,000 in increased NOI.

If we apply a 10% cap rate to this increase in NOI, it means that our property is now worth $240,000 ***more!***

$$\frac{\$24{,}000 \text{ (increase in NOI)}}{10\% \text{ or } .10 \text{ (cap rate)}} = \$240{,}000 \text{ increase in value}$$

Let's say we bought this property for $500,000. After 12 months, this property would now be worth $740,000!

We have just made $240,000 just by making some simple changes in the way we managed the property!

That's the beauty of investing in commercial real estate…for every dollar you reduce expenses and/or increase rents, you exponentially increase the value of the property (in this case, 10 times the improved amount!) You can't do this with many other types of investments.

And, remember, if you had bought this property, you would be earning cash flow from collected rents every month for as long as you own it and your tenants are covering all your expenses for you!

Secret TIP: Always go by the numbers. Don't ever buy on impulse because you "like" the property. Or because it seems like a bargain. A bargain is no bargain if it costs you in hidden expenses. Remember: It's not personal. It's business. Always do the numbers to see if the deal really pays. Buy only if the numbers work for you.

I hope this shows you the potential of an income-producing property. This example is for just one 20-unit property but you can start smaller and grow until you reach your goal of making this your main profession or family business!

CHAPTER 3

Investing in Real Estate Starts with a Simple Plan

As I mentioned earlier, to be successful at real estate investing, you must treat it as a business. And a basic rule of business success is that you must have a plan. For us, it is an investment plan.

In order to know where you are going and how you can get there, it is important to know where you are right now. In this Book I will provide information to help you assess what to buy, where to invest, and how to evaluate properties. But before we can begin the what's, where's, and how's, you must conduct some personal assessments of your own.

This chapter is all about helping you determine your goals and seeing what you need to do to reach them. As you go through each section, make notes. Then organize them so that a plan emerges, and then put your plan in writing.

There is no better starting point than to be clear about the resources you have to work with and to know where you want to end up. This should be an eye-opening process for you, and I cannot stress enough how important this first step is.

When I first began investing on my own, I had a mentor who was very blunt with me and made me conduct my own self-assessment. At the time, I didn't want to be bothered with thinking about my current situation; I wanted to focus on the money I was going to make!

But he was absolutely right. By sitting down and taking full inventory of what I had – and didn't have – I was then prepared to move forward in a much more knowledgeable and effective manner. My success was due, in part, to that good beginning and the firm foundation it gave me.

So, here is a step-by-step guide to assessing your goals and current situation:

How to set Your Financial Goals

Your first step is to determine your financial goals. Start by asking yourself why you want to invest in multi-family properties. (I am going to give you many more reasons later in this Book, but I am sure you already have some of your own.) What do you want to accomplish? How much income or net-worth do you want to realize? And what is your schedule or time-line for accomplishing these goals?

In my experience, different investors have very different intentions with regard to how involved they want to be with the properties they buy. Some of the investors I work with already have busy, full-time careers and their goal is to make their money work for them while they pursue their regular jobs.

Other investors want to be somewhat involved, but not at a full-time level.

At the opposite end of the spectrum is the investor who wants to replace his or her job with a new career in real estate, and the goal is to make enough money to replace the current source of income.

Time is another factor. Some investors give themselves many years to reach their goals, while others are focused on a much shorter period.

So, how do you see your new real estate business? Do you want it to be a sideline that is primarily an investment of money, or do you want it to be an investment of time and energy as well? And how soon do you want to see results? Are you in this for the long haul? Or do you want to make the bulk of your money within a limited time frame?

Whatever your situation and aspirations are, write them down. These decisions will play an important role in determining how you will move forward.

This is a good time to point out that there is a way for you to profit in real estate where all you do is invest money, and you don't have to get involved in any property management work at all. I will explain that program in Chapter 15.

Cash Flow Requirements-Receiving Steady Paychecks

Next, determine what you need as well as what you want. Do you need your investment to provide a certain amount of consistent income? Do you want a long-term gain that will fund your retirement? Do you need cash now?

These questions are important because there may be certain deals that work for immediate needs as opposed to long-term wants.

For example, if you truly need that monthly cash flow, then you must focus on deals that provide this. However, if you really don't *need* this immediate income stream, you may not want to tie up investment capital now in case you find a deal that has greater upside potential down the road. Knowing what you want versus what you need will be an immense help in weeding out deals that do not fit your goals. Then you can make better decisions that will put you in a more favorable situation in the future.

Net-Worth Goals-How Much do You Want?

Now, spend some time considering your targets regarding your ultimate net worth. How much do you want to be worth in years to come? How much will you need to retire in the style you want? What will it take to pursue your interests and hobbies? How much do you want so you can help your family members achieve their dreams? Are there organizations and charities you'd like to fund? Translate these goals into properties. How many properties will you need to buy and sell, and what is your timeline to achieve your goals?

I do an exercise with the clients I work with on an individual basis and its called : What's Your Number?" The exercise goes like this:

1. Take your gross annual income.
2. Subtract 50% for taxes.
3. Take that number and divide it by 12.
4. Take that number and divide it by 137(average cash flow per unit - this may be different in different locations, but it is ok, to use for this exercise.)
5. The result is how many rental units you need to replace all of your monthly income.

Other Things to Consider

Next, you should consider your goals that do not translate into dollars. For instance, how much time and work are you willing to put in on these properties? Are you going to self-manage or hire a management company? Do you have a spouse who can perform some of these roles? Is this the springboard to a larger career in multi-family ownership? How do you envision your involvement in your real estate career?

Your Starting Point

You should sit down and make a complete accounting of your personal finances as preparation for obtaining new financing on properties. What is your income, from all different sources? What do you owe? How much money do you have available right now to start investing in real estate? Keep in mind that in addition to the initial down payment, you will incur other closing costs.

What if you don't have enough cash? Don't worry. There are various levels at which you can operate so that you can succeed with the amount of resources you currently have but do take the time now to assess what you have to work with. And don't forget to place a value on your time, knowledge, and ability to oversee the investment.

If you intend to borrow money, your credit score will be an important factor. You should know what your credit score is, and if necessary you should begin taking steps to improve your score, if possible.

I subscribe to www.MyFico.com. It not only tells you what your credit scores are in detail, but also provides insight into how you can raise the number by taking certain steps. You can research the Internet for other companies that provide this service.

> ***Secret TIP:*** You may be sitting on a gold mine without realizing it. If you own your home, remember to include home equity line of credits as sources of funds. You can also set up a business line of credit or apply for a credit card in the name of your business or property entity.

It all Starts with You!

Another important part of making a business plan is determining how much time you will put into your business and committing yourself to doing it. Decide what your schedule will be and stick to it! Set goals for what you will accomplish each week. If you must, limit your goals to fit the time you have – but do your best to meet your goals. Write down your goals and schedule on a piece of paper, and post it where you can see it as a reminder.

And of course, start by reading this Book in its entirety!

CHAPTER 4

Selecting the Properties You Can Profit On

There is a wide variety of properties out there, but they won't all fit your needs and budget considerations. Before you begin engaging various professionals and speaking to industry experts, you must decide what types of properties you are interested in that best fit your particular situation.

In this chapter we'll look at some of the factors you should consider in defining your criteria.

Number of Units

Remember, apartment unit sizes only matters to you. There is no right or wrong answer regarding the size of the properties you should buy. It is up to you to decide what size project you are comfortable with as you start out in this business. For example, you may just want to start out with a duplex and work your way up into something larger.



My First Building I made over 6 figures on in Merrillville, Indiana…

The first property I purchased was a duplex, but I am going to spell out a plan for you that works for all properties, and can be tailored to grow along with your ability to purchase larger properties.

One of the key benefits to purchasing a larger asset is the greater economy of scale. For example, a ten-unit property may require the same expenditure of effort as that required to buy a fourplex; however, your ten-unit property may produce more dollars per unit because you have more units to share the expenses.

On the other hand, one of the benefits of buying duplexes, triplexes, and fourplexes is that generally speaking, these properties are classified as "residential" by most lenders, which could be advantageous for the first-time buyer by allowing for more financing options. Also, as I give advise to my clients that I personally coach, when starting out, I usually have them look at twelve units and less for their first purchase. Residential multifamily is a great way to start.

If you are looking for fast cash, any of these can easily be wholesaled to another investor-buyer and you can earn an assignment fee.

Location, Location, Location

One of the primary determiners of property value is location. When evaluating the benefits of a particular location, keep in mind an important issue: how the property is used.

In our case, it is a rental property that people will be living in. However, size and location interact. If we were evaluating the income potential in a duplex, we would want to steer away from a busy street that tenants would find less attractive. However, with a larger project with many units to fill and possibly high turnover, we want to attract "foot traffic" – that is, potential future tenants who find our property by driving or walking by. In this case, the more traffic, the better.

Neighborhood

We will cover this topic in greater depth in Chapter 5.

Physical Characteristics

In evaluating whether we want to invest in a property, we must take into account the type of construction and the corresponding costs of maintenance. For example, a pitched roof is easier to maintain than a flat roof; a brick facade will hold up longer than inexpensive stucco or Drivet. These are not deal breakers, but you may pay more or less for a property depending on these features.

Degree of Deferred Maintenance

This refers to how much physical work is required on the property to increase its value, raise it to the standard of surrounding properties, or bring it up to code. Extensive remodeling or construction take time and money. There is nothing wrong with tackling these properties if you want, but you must consider if you have the resources and team in place to properly handle this.

I personally do not mind acquiring properties with a certain degree of deferred maintenance. I simply factor the anticipated costs into my offer price. However, I generally steer away from greatly distressed assets, as I do not have the staff and support in place to manage this higher level of construction. I know there are more qualified people out there and they can likely pay more for the property than I can, so I do not waste my time. The point being, know your strengths and weaknesses.

Secret TIP: Once you have defined your criteria, write them down on a sheet of paper. Keep this list handy when you begin speaking to professionals and realtors. You'd be surprised at how many people don't know what they want to purchase. When you answer others' question with crisp details and authority, they will be impressed and grateful that you have taken the time to make their job easier. They will take you seriously and you will have instant rapport.

CHAPTER 5

Finding Your Neighborhood

Next-door, in the area, or far away – you can do it all. However, most people who are first starting out purchasing smaller properties prefer to start closer to home, and I think that is a great place to start, if possible.

Take a look at your county, city, and the surrounding neighborhoods or suburbs. Here are topics you will want to take into account when considering properties, and you should be thoroughly abreast of current figures in the area where you're looking:

1. Demand
2. Pricing
3. Trends in pricing
4. Trends in population (growth or decline)
5. School districts
6. Access to highways
7. Local government and regulatory laws
8. Nearby amenities
9. Employment growth
10. Crime

The list could be extended, but these are the basic issues to start with. A well-informed real estate broker can be an invaluable resource to you on many levels, and especially with regard to helping you evaluate neighborhoods. Let's talk further about each of these topics so that you will be prepared to speak with your broker about them.

1. Demand versus Supply

What is the demand for rental units in this area? For example, you need to find out if this is an area with acres and acres of newly built homes nearby that could complete with your units.

If the mortgage payment for a single-family home is no greater than renting, this could lower the demand for rentals. On the other hand, if homes for purchase are more expensive or are not in great supply, these conditions favor rentals. Be sure you take a "macro" look at the buying/renting situation in the neighborhood where you're considering buying.

2. Pricing

Is this an area that is more expensive or less expensive than alternative neighborhoods? For example, you should consider whether you could stretch your investment dollar further if you bought in an less pricey neighborhood. For example one neighborhood may have units that average $25,000 per unit where another neighborhood has units which sell for $35,000. Does the extra investment yield more income/appreciation for you?

3. Trends in Pricing

Obviously, your goal is to buy properties that will increase in value, and not decrease. So when considering a property, you want to know if this is a neighborhood where pricing is likely to increase. Will it increase in value more quickly than other areas? Have your realtor or broker formulate an opinion as well.

4. Trends in Population

The per-unit pricing may be attractive on a property, but is the neighborhood expected to grow in the years to come or is the population shifting in another direction? Cities typically have areas that experience faster growth than other areas, and you want to be fully informed in this subject.

We call this the "Path of Progress" and when I am entering a neighborhood (or in my case, a marketplace), I bring a map of the city to my meeting with the realtor. I ask the realtor to use colored highlighters to mark up the map by circling the preferred areas, and then I ask why those areas are better to invest in.

5. School Districts

It is important to know the rankings and ratings of the local school districts in the neighborhoods you are considering. The quality of these schools can make or break your leasing efforts. A good school district can attract and retain tenants for years at a time.

Secret TIP: To research information about public schools, go to: www.schoolmatters.com.

6. Streets/Highways/Public Transportation

Make sure your tenants will have easy access to where they work and shop. A single-family home may be lovely when it is tucked away on a one-lane road at the top of a hill, but your average renter may not agree. Also, having a property near a main highway/street gives it additional visibility in attracting tenants.

7. Nearby Amenities

Imagine yourself living in the neighborhood. Does it offer enough services without having to drive too far? Grocery stores, gas stations, dry cleaners, and restaurants should all be accessible and appeal to the tenants you want to attract. Parks, playing fields, and gyms may also be important to some tenants.

8. Employment growth

This may be the Grand Daddy of them all. I look for an employment growth of at least two percent or more per year when I am looking at a market or sub-market. Employment growth is what drives rents and sales, so it is very important to the investor for potential of the asset.

9. Crime

My philosophy is I just don't buy in high crime areas. Usually, if there is high crime, the other statistics do not work out for the investment. **neighborhoodscout.com** is a good source for crime statistics in a neighborhood.

Putting the Pieces Together is Easy

If you are starting to glaze over with all of this information, don't worry. It's a completely normal reaction, but you will not have to remember everything all at once. This book will be your road map.

This is a process where you can stop and check yourself along the way. Many investors I have worked with had a coach or mentor to help them get started and I will provide information on where you can get this type of assistance later in the Book.

> ***Secret TIP:*** When considering a property, don't just look at the neighborhood as it is today, but think about what it might become in the future. "Transitional" neighborhoods can offer great buys if they're on the way up. You might pick up a bargain today in a neighborhood that's about to become the "in" spot for trendy renters. On the other hand, if you buy in a neighborhood that's transitioning down, you can see a decrease in the value of your property. Do your research and get a feel for where the neighborhood is going before you buy.

While you can own properties near or far, I have enjoyed having properties close enough to home which allows my family to participate. It is a wonderful way to provide a platform for teaching them to be entrepreneurial and independent. Seeing me take charge and create results is a subtle parenting tool.

How To Identify Good Markets

Earlier we discussed the convenience of buying in your own backyard. Certainly, if you are fortunate enough to live in a good market, you are ahead of the game. But for various reasons, your market may not offer many opportunities – especially when you are looking into buying a larger complex.

Also, living in an area with many properties doesn't guarantee it's a good place to make investments. For example, I, myself, live in one of the hottest

apartment markets in the country. Unfortunately that means that properties are priced much higher and the cap rates (return on investment) are lower. I can make more money by investing elsewhere.

So, how do you find a good market? Well, we could always use the help of a crystal ball! But barring that kind of assistance, with a little homework, you will be amazed at how quickly you can determine the viability of another market.

What are we looking for?

First, it's important to look at the economic drivers of a market. For example, what are the demographics of the area? Also, you need to know the average price per unit and cap rates for this market. You should have an idea of how these statistics compare to other markets so you don't get caught up in an expensive, over-heated area where it will be difficult and costly to compete. On the other end of the scale, is the market pricing reasonable but the economic projections are not positive? These are important questions to answer.

Key Market Influences

Whether you are planning to purchase within your own community or across the country, you should understand the following issues about an area before you venture out.

1. **Employment trends.** Jobs are key. Without them, tenants are not able to pay their rent. With them, they can afford to pay decent rents. In addition, they can afford to leave their relatives and live on their own – meaning more units will be rented in the area. You want to check up on the local businesses to see who is hiring, who is expanding, or even better, who might be moving into that market, bringing an influx of new tenants.

2. **Recent or pending construction of similar-sized properties.** Check on building permits in the area and confirm that 600 units are not being added to a market that only has 1,200 units existing currently. A burgeoning of construction can lead to over-supply of units and a

dramatic drop in occupancy rates in existing properties.

3. **Vacancy rates of the market.** If the average property in the area has a 20% vacancy, it doesn't bode well for your investment. You want to see occupancy rates at around 90%.

4. **Rental rates for your type of property.** If the average rental rate in the area is low, you will not be able to charge more than the market will bear. Do your math to determine if you can make a profit at current rental rates.

5. **Demographics of your market.** Do tenants in the area tend to come from a stable population with good income, or are they more transient with lower income? Clearly, the more stable the tenant population, the less turnover you can expect.

6. **Migration and trends in the population.** Are young professionals moving into the neighborhood, or are they moving out? You need to confirm that this is a thriving, not a dying, marketplace.

7. **What is the highway infrastructure?** Preferably, you want a city that is easy to get around in. This fosters more growth and means people may work in different areas of the city and still find your property convenient to get to.

Attributes of a Good Market

In general, a good market will have any of the following characteristics:

1. It has been economically stable and trending positively.

2. It is a state capital.

3. It is the home of universities and colleges.

4. It is located on a major highway, or, better yet, is the converging point of many of them.

5. It is near a *permanent* military base. Make sure the base has a lot of civilian employees so that the tenant base will remain stable even if the soldiers are deployed.

Getting Information on Your Market or Submarket

Once you decide on your market, you will need to further understand your submarket and the factors affecting the available properties.

To acquire more information when studying a market:

- Call the good real estate brokers, property managers, inspectors, and appraisers in the area.
- Call all Economic Development Groups.
- Read the local papers.
- Call local bankers.
- Call local real estate lawyers.
- Call. Call. Call…..Call whoever knows about real estate!

Here are additional websites that can provide information on the economic outlook, jobs, markets, demographics, and rents in the areas you're considering investing in:

- CNN Money (money.cnn.com): general business and economic news, home prices, and appreciation
- Google: search a city's economy
- bestplaces.net: detailed info for every city
- local city/county government websites
- Milkeninstitute.org: Milken Institute is a nonpartisan, independent

think tank and can be a useful research tool.

- wsj.com: Search the Wall Street Journal Real Estate section
- city-data.com: national database of U.S. cities profiles
- 2010.census.gov: Current statistics as well as projections
- fedstats.gov: Statistics from federal agencies, broken out by state and counties along with comparisons to national and state averages.
- bls.gov: U.S. Dept. of Labor, Bureau of Labor statistics
- huduser.gov: U.S. Department of Housing and Urban Development
- areadevelopment.com: this will give you insight into what companies look for when they want to relocate. It has great free newsletters that often tell you where a company is going.
- realtor.org: National Association of Realtors
- mls.com: Multiple Listing Services
- ccim.com: Certified Commercial Investment Member site
- loopnet.com: commercial real estate listings
- costar.com: commercial real estate listings
- altosresearch.com: Real estate database of current real estate market data.
- rcanalytics.com: Leading market research and commercial real estate sales and trends analysis for investors. Free sample reports and comparable sales data.
- bestplaces.net: Cost of living, school, crime data

- mynewplace.com: Apartment rental search
- zillow.com: residential real estate valuations
- trulia.com: residential real estate valuations
- realquest.com: real estate valuations
- housingmaps.com: map oriented website for rent or for sale
- apartmentratings.com: nationwide apartment ratings
- homepricerecords.com: price of homes
- alnsystems.com: Apartment Listing Network (Rental Comps)
- multifamilyexecutive.com: Multi-family news
- freetrademagazines.com: Apartment Finance online magazine
- multihousingnews.com: Industry news
- www.thecreativeinvestor.com: Online Community for RE Investors

After your initial research, I suggest picking two to three markets and concentrating on those areas for in-depth research.

Secret Tip: Sometimes your best insight into a marketplace can come from the people who live and work there. When you visit a property or an area where you're considering investing, take a walk around the neighborhood. Go into some of the local stores or restaurants and ask the people who work there what they see going on locally. Is business getting better or worse? Have they noticed any changes in the type of customer coming into the store? Have they heard rumors of any changes that may be taking place – such as new businesses coming in, or established businesses leaving? The news on the street may be very valuable in helping you decide to purchase a property, or pass on it.

CHAPTER 6

Building Your Business Using the Team Approach

You have now come a long way in educating yourself about the factors involved in real estate investing.

You know about the issues involved in markets and neighborhoods. You know about the different property types.

Now it's time to find a deal!

In my years as a real estate property manager, I used to refer to myself as a generalist rather than a specialist. I called myself that because I knew a little bit about a lot of different subjects. While that sometimes led to interesting dinner table conversation, I was not an *expert* at much of anything. Now, with that being said, I have my wife think I am an expert at everything! ;)

But that just points to one of the wonderful features about investing in real estate: you do not have to be an expert at anything. There are plenty of experts out there who will help you succeed. All you have to do is put together a comprehensive team. And it's important that you do that as soon as possible.

In this chapter we'll look in detail at the various experts who should be included on your team.

Real Estate Agents and Brokers

Real estate agents and brokers are typically paid by the seller. Even so, they can help you in identifying properties to buy and can aid you in your efforts to purchase them.

Generally speaking, you will be working with a real estate agent, also referred to as a realtor. However, there are also real estate brokers. These are professionals who have passed additional tests to earn a brokerage license issued by the state in which they work. Although a broker has more training, as

I mentioned, it is equally likely that you will work with a realtor, and both are sufficiently qualified to help you through the entire process.

There are various ways to find a real estate agent to work with. But what is most important is to find someone whose approach is compatible with your perspective, and who understands your objectives and tolerance for risk. We will cover these issues in more detail later in this Book.

Because I work in multiple markets, I tend to work with many different brokers. I have made it a point to cultivate a strong relationship with each of them as I feel this is critical to working as a team. As you progress in your investing career, you will find that these relationships can be personally rewarding, in addition to being instrumental to your success.

Real Estate Attorney

As a real estate investor, you need to identify a skilled real estate attorney who can review contracts of purchase and sale for you, and who can help you navigate through potential land-mines in a deal. The attorney will also review the title, survey, lender and closing documents and make sure that sellers are living up to their side of the Purchase and Sale Agreement. Finally, it may be important for your attorney to create the entities that you will be owning the properties in. (i.e. Limited Liability Companies, Partnerships, Trusts, etc.)

It will be in your best interest to find someone who has a number of years of experience practicing in the state where you will be purchasing. You may want to get a referral from your real estate agent, local bank, or mortgage broker.

Property Inspector

I cannot emphasize strongly enough the importance of proper inspections prior to purchase. Deals will live or die based on the results of these inspections. Remember, knowledge is key here. We'll go into this more deeply in Chapter 12.

The important qualities to look for in a property inspector are:

1. Experience inspecting your type of property. If an inspector's experience is all with single-family units or retail strip malls, this is not helpful to you as someone who intends to purchase multiplex dwellings.

2. References. Have the inspector provide you with several references, and make sure you follow up by calling these past clients. If possible, go back a few years – a property inspected just a month or two ago has not had time to produce problems that he or she might have missed.

3. Temperament. Here you want the inspector to have the perseverance to uncover every conceivable "problem" with the property that may be used in negotiating a repair credit with the seller. At the same time, the inspector needs to be honest and realistic with you regarding the severity of the issue, i.e., is this something that absolutely must be corrected, or is this more of a "preference"? Ideally, you want an inspector who understands your threshold for what conditions are acceptable, and who can communicate effectively.

   In other words, you do not want a constant "deal killer" who aggressively covers his bases at the expense of your deal. Alternatively, he needs to be thorough and diligent in properly assessing the property. Thanks to working with inspectors I could trust, I have confidently walked away from deals after the inspection, or in almost every occasion, I was able to negotiate a concession from the seller because of this report.

Loan Officer/Local Lenders

Depending on your banking relationships, you may find it convenient to work with a local bank. A loan officer is the individual assigned to initiate the process and handle the paperwork for your loan, make an assessment of the borrower and property, and ultimately formulate a report to the loan committee. The loan officer will be working on your behalf, and it is important

for you to establish a relationship with him or her.

Mortgage Broker

Depending on the size of the property you intend to purchase, you may want to work with a mortgage broker who will shop the financial market place for the best available deal. A mortgage broker can be a great help and do some of the heavy lifting when it comes to working with the lender. However, you will pay for this service. Mortgage brokers will charge you a fee – usually around one percent of the loan amount that the buyer pays at closing.

Insurance Agent

You will need property and general liability insurance. An insurance agent will make sure you have the proper coverage (which the lender will require) for the best price available. Insurance agents can also help with cost projections when you are evaluating properties.

Make sure you find someone who is responsive and can react quickly in your fast-paced environment.

Accountant

An accountant can help you with financial analysis and with income tax strategies, and should be able to advise you on the various tax implications before a purchase. It is very important that you find an accountant who understands real estate investments and the corresponding tax law so that you can take advantage of all the relevant deductions and depreciation to reduce your tax liability.

Keep in mind that most accountants are conservative and should not be relied on to provide investment advice. If you are waiting for your accountant's approval to proceed, you will be permanently entrenched in your seat. Use your accountant's expertise only where it is needed. You will have many other people on your team who can more appropriately advise you when it comes to investment decisions.

Management Company

If you are going to hire a management company to manage your properties for you (and I recommend that you do), you will want to have pre-screened several management companies so you will have them ready to call on as soon as you get a property under contract.

Much like a property inspector, you will want a management company with extensive experience managing the type and style of property you will acquire. Make sure that they have systems in place to manage properly, and are organized and professional.

Once you get a property under contract, you can request formal proposals from the companies you've pre-screened, in which they will detail their services and also provide recommendations for the marketing strategies they will use to get tenants into your property.

If you want to manage your properties yourself, become familiar with the laws, get good leases, and never stop marketing your property.

Here are a couple of resources you can turn to for more information on how to operate your property:

www.apartmentassociation.com
A website where you can find links to state and local apartment associations and organizations that support the multi-family property industry.

www.landlordportal.com
A convenient website for landlords of all types of properties that offers helpful resources and tips.

Advisor/Coach

While not a standard part of your real estate team, consider working with a real estate coach who can help you learn the ropes. I am a big proponent of having an experienced mentor guide you through the process of your first purchases.

Secret TIP: Your Rolodex can be your business lifeline. Keep information on all your team members in one handy place, including how to contact them quickly, and their specialties. Let this become your "go to" resource that you can refer to whenever you need to.

Do the work of assembling a team of professionals, and you will find that it's much easier than you thought it would be to carry out a successful investment program in real estate.

Additional Team Building

When acquiring larger properties, there are additional team members you may want to have access to who can make your job easier.

Mortgage Broker

A mortgage broker works independently with several different mortgage lenders, helping you find the best financing for your deals. This professional may either charge an up-front fee, or charge a percentage commission based on the size of the loan, which is paid at closing. In my own business I prefer paying a commission at closing, which means the broker doesn't get paid unless he or she performs and the deal closes.

It is important to find a broker who specializes in the type of property you are buying, so make sure to ask about their specific experience. You also want a broker you feel comfortable providing with confidential information about your finances and plans, and who can counsel you on your various options before you even make an offer.

Additionally, once you have identified a property, a good broker can get you into the most up-to-date loan programs and can help you make reasonable cost and income projections, which will influence your offer.

Despite their fee, using one of these professionals can pay off in many ways. For example, they can:

1. Work with several lenders and present the most competitive loan to you at a savings over alternatives.

2. Act as a buffer between you and the lender. This can be very useful should issues arise from the lender's underwriters that the broker can handle or diffuse for you.

3. Provide advice or direction regarding the deal. Successful brokers will have seen many different types of deals, which means they have a unique perspective based on invaluable experience.

Property Management Company

Even if you think you may want to self-manage your property, I urge you to establish a relationship with a qualified property management company. Again, you are looking for a company that has experience with your type of property, so do inquire about the types of properties they already manage.

Additionally, IREM bestows a designation for Accredited Residential Manager (ARM). Managers with this designation have gone above and beyond the norm to increase their education and distinguish themselves.

Management companies can be excellent resources to help you as you search for properties to invest in. They can provide valuable rental and occupancy data, as well as unpublished information about the property or neighborhood. Additionally, having a professional management company on your team may improve your chances of getting attractive financing.

***Secret Tip*:** Having a property management company is a must if you will be purchasing outside your area. Get them involved early in the process of selecting a property. But even if you are buying locally, do establish a relationship with a property manager even if you think you don't need one now. As your portfolio expands, you may see the need for outside help, and if you already have a good working relationship established, you won't lose any time transitioning to a managed property.

Putting a Property Management Company to Work For You

One of the secrets to being a successful real estate investor is to be able to focus your activities on strategic matters (like finding new properties to invest in) versus day-to-day management issues at the properties you own. Remember, being an investor does not mean you have to be a landlord, too.

Hiring a professional management company can be pivotal in your effectiveness as an investor, while it saves you from the numerous day-to-day details and hassles that landlords have to deal with.

If you are investing in multi-family units, a third-party property management company can be worth its weight in gold. The staff of the property management company you work with will be the face and voice of your properties to your tenants. Choosing the right company should be a high priority.

Hiring Your Property Management Company

Given my property management background this is an area where I can call upon my extensive experience to help you avoid mistakes and choose a property management company (PM) wisely.

As a first step to identifying a PM, get referrals from brokers or anyone who is already involved in the deal. They may know the area, the needs of the property, and the qualifications of various local PMs. Their knowledge of the area can help steer you in the right direction.

What size PM should you consider using? Don't be fooled, thinking that a smaller firm will provide you with more personalized service. For my own properties I prefer using a larger company over a small one. A larger firm has more resources and more formalized systems and procedures in place to effectively manage your property. They can respond more quickly in the event of personnel issues, and can be easier to work with.

In addition, they often will have a blanket insurance program (a single policy that covers more than one piece of property) that you might be able to participate in for lower premiums, and they will likely have established

relationships with service providers at preferred rates that will trickle down to your property and save you money.

Once you have assembled a short list of prospective management companies, here are questions to ask so you can evaluate each firm:

1. How long have they actually been in business?

You want experience. But more than that, you want experience with your type of property. You should avoid a company that does not have 5+ years of directly related experience.
Even if they have years of experience managing other types of properties, there is no guarantee they will handle your property correctly. Different types of properties bring different challenges. Lack of experience with your type of property will be a factor that your lender may consider as well.

2. How many units do they manage, both overall and in your market?

If they are a large organization, they do not need to have a large number of properties in your market, but the greater the number, the better.

3. What is the marketing plan they would use to keep and attract tenants?

The fact is, apartment locaters are not enough. Your PM must do marketing. What I look for is intelligent, affordable marketing strategies (for example, using free websites and partnering with local businesses). What are their tenant retention methods? (I look for ways that they solidify the property as a community.) How are they finding new tenants? (See my examples in Chapter 8.) The management company needs to be able to give you a long list of their marketing and retention methods. What you want to see is creativity, and most of all, results that can be tracked.

4. Ask for the addresses of a few of their properties – and visit them.

It would seem obvious that you would want to see firsthand the properties they are currently managing, but many people ignore this basic requirement. Personally, I believe it's best to become a "secret shopper" and visit the

property as though you were someone who is looking to rent.

Observe the cleanliness of the property, the personalities of the staff, tenant/staff interactions, etc. How does the staff greet you? Do they offer refreshments to guests?
Would you be motivated to rent from them? Watch to see if you get a follow-up call from the staff soon after leaving. The tenacity (and people skills) the staff put into closing the sale is something I take very seriously.

5. What is their fee? And what does the fee include? What is their recommendation for staffing your property? Who pays for these people and what is included in the fee they quoted you?

It is customary for the property to pay for the full salaries and benefits of any employee who works at the property one hundred percent of the time.

6. What accounting and management software do they use? What will your costs be?

It is not uncommon to pay for subscription fees to use their systems, but just make sure you feel the fees are reasonable and understand how they compare with the fees of the other companies you are considering.

7. Ask to see a sample of their monthly report to property owners.

This will give you an idea of how professional their system is. Keep in mind that you can request additional reports from what they consider "standard." I will give my recommendations later in this chapter.

Asking these questions will help you narrow the field and will help you avoid a lot of mistakes many investors make when searching for management for their properties. However, you may have other issues that are important to you. Use your judgment to come up with additional questions that cover all your concerns.

Negotiating the Property Management Contract

Every company will have its own contract that is used for all their clients. Keep in mind that the scales of justice will tip in their favor should a problem arise, so you will need to carefully review the contract, and make any changes you feel are appropriate, before signing.

A great deal of the verbiage will be standard, "boiler-plate" provisions, however, you can customize them to fit your needs. Here are some areas that I typically change to meet my requirements:

Monthly reports

I like my reports to be for the full calendar month, with no early cut-offs. I am willing to wait until the 15th of the following month to receive these reports; but I want to see a full calendar month of activity.

Leasing fees

What I am willing to pay will vary from property to property. I just make sure everything is spelled out.

Reserve Account

This is the amount of money the management company will want to retain in the operating account at the end of each month. This varies in relationship to the size of the property. Just be aware of what they are asking for, and make sure it is appropriate and acceptable to you.

Extra fees

A number of different fees will be detailed, for example, fees for work done by non-property employees or for construction management oversight. The bottom line is that all of these fees are negotiable. If you reach an impasse on a certain fee, you can always have the contract state "with owner's written approval." That way you leave the door open to paying the fee, but you will have to be notified and agree upon the fee at the time of the service.

Spending authority

The budget will dictate what can be spent, but there may be times when things deviate from the plan and the PM will need to purchase items or hire a service provider to fix something quickly. Set the amount they can spend without getting your approval. I suggest $500 - $2,000 depending on your property size.

Term

Always, always, always have a term for one-year, which can be terminated by either party with a thirty-day written notice at any time throughout the term. This is non-negotiable.

Monthly Reports

Here are some of the reports to be included in your monthly packages from the PM that you should receive at a minimum:

Income and Expense Statement

This should be organized by the monthly column and the year-to-date column, giving a comparison between the current month's actual amount and the current month's budget amount. Likewise, you should see the year-to-date actual amount versus the year-to-date budget amount.

Detailed Check Register

This should be listed by general ledger account. For instance, when you want to see what made up the $752.35 in Repairs and Maintenance for the month, you can go to this report and see exactly which checks were written to which service provider.

Monthly Rent Roll

This will show the rent and other charges for each tenant.

Executive Summary

This is a narrative report detailing the accomplishments, challenges, and future

goals for the property.

Bank Statements

You must be able to verify what is in the reports.

Weekly Reports

I require the following weekly reports to be sent to me by Tuesday of each week. I then have a standing Wednesday conference call with the regional manager to discuss. This is a great tool to stay on top of leasing and expenses issues, which can otherwise fall through the cracks when you only review this information on a monthly basis.

I strongly suggest you adopt this schedule. It may seem excessive at first, but it will save you time and money in the long run.

Traffic numbers for the week

This is the number of applicants who came to look at units. Your manager should be converting about 30% of the individuals who come to the property into tenants. If the number is lower, you need to find out why. It could be a problem with the manager, or it might be a problem with the units.

Physical occupancy

This is the percentage of residents living at the property.

Pre-leased occupancy

This is the percentage of units that are leased but the resident has not moved in yet.

Work orders completed for the week

Keep track of this number so that you can see the typical activity at your property.

Work orders pending

This will tell you if your maintenance person is completing requests in a timely fashion.

Collections for the month-to-date

You can see how quickly the manager is collecting the rents.

Delinquencies for the month

You can see what rents are outstanding and find out how the manager is preparing to collect, or if there are items that are uncollectible.

Pending accounts payable for the week

You can review invoices that are outstanding and make sure you do not have any issues with what is being paid. I look at this very closely as it is easier to correct spending habits on a weekly basis before something becomes a repetitive invoice.

Budgets

These should be prepared by your management company on an annual basis or at the time of purchase. I require my budgets to be completed for review by November 1 each year.

***Secret Tip*:** The beauty of finding a great PM is that you can use them on all your properties. That makes it easier to keep track of your investments, you can establish your preferred way of following up on your properties, and you may be able to negotiate a better rate for their services

CHAPTER 7

How to Find the Many Deals That Are Out There

You're getting closer to realizing your goal of becoming an investor in real estate! Let's recap your accomplishments thus far:

- You have assessed your unique goals and resources
- You have selected the neighborhood where you want to buy
- You have identified your criteria for the property you want to buy
- You have learned how to build your team of experts who will get you across the finish line

Now it's time to *find* a property that meets your criteria and offers the best return on your investment!

In this chapter we'll examine the various resources you can turn to that can help you identify your ideal property.

Real Estate Agents and Brokers

One of your most instrumental team members will be your agent or broker. This real estate professional can not only help you identify available properties, but can also supply you with an enormous amount of information, statistics, and insight to help you make an informed decision.

It is important to build a relationship with an agent who is very knowledgeable of the geographical area in which you want to buy, and who is experienced with your type of property. A seasoned real estate agent can help fill in the experience gaps of a novice investor.

However, while an agent can provide invaluable information concerning a neighborhood or a type of property, do not let that become a substitute for

doing your own research. Every individual brings his or her own perspective to the investing process. You will have certain preferences that will differ from those of the agent you're working with. In addition, you are the one who is ultimately responsible for the decisions you make. That's why it is important to use your resources as a starting point, but to then dig deeper and further into the neighborhood or property under consideration.

While your agent or broker will likely be your best resource in identifying viable properties, here are some additional resources that can help you along the way:

Real Estate Investment Clubs and Organizations

One of the first steps you should take to build your professional network is to join your local real estate Investment association. There may be more than one in your area. To find them, just do an Internet search and see what comes up.

I suggest that you attend each group that is available at least once. Then you can decide which ones are the better fit for you and can best help you reach your goals.

Make as many contacts as you can at these meetings so that you can build your network of fellow investors. Find out what others are doing and what their strategies are. This is also a great way to get referrals for all the various types of professionals that we discussed in the last chapter on team building.

Internet Sites

Another place to find potential investment properties is the Internet. Online resources are readily accessible and can provide information quickly; however, it is important to use these sites as a tool only. Be careful not to rely on them too heavily. These sites are visited by a large number of people and sellers tend to overprice their properties for this reason. It is the classic, "see what sticks on the wall" approach. Nevertheless, the Internet can turn up some interesting possibilities.

Here are a few sites that list properties for sale:

www.loopnet.com
This website provides commercial real estate listings (for sale and for lease) in the United States. Loopnet's parent company, Co-Star also does major research in the real estate business and has other resources for you as well.

www.cityfeet.com
This site is similar to Loopnet.com

www.realtor.com
This website is geared toward single-family dwellings but is also a resource for duplexes and fourplexes.

www.hud.gov/offices/hsg/mfh/pd/mfplist.cfm
This is the official government website of the US Department of Housing and Urban Development. It lists all multi-family properties being sold at foreclosure or auction.

www.danter.com
The Danter Company provides expertise in market feasibility and market studies throughout the country.

Auction sites:
www.auctionservices.com
www.cwsmarketing.com

Another Internet strategy is to peruse Craigslist.com for duplexes, fourplexes, and small apartment communities that have apartments listed for lease. Search your area using key words in the search feature such as "4-plex," "duplex," etc. I will say that this may not give you the best deals in abundance, but it is a great training ground to get seller's on the phone and practicing giving them solutions to their current real estate challenges as an owner.

When placing a call to the numbers listed in these ads, you will likely get the owner/manager. You can explain that you are in the market to purchase properties like his/hers and see if they would be interested in selling. If they respond to the contrary, you can ask if they are interested in buying more

properties as you occasionally come across deals that do not fit your criteria, but that you could pass along to them for a finder's fee.

In addition to helping you identify potential properties, the Internet can provide valuable information on the properties you're considering. For example, you may be able to find details on property tax assessments (which is a great help in evaluating the price of a property), area schools, new multi-family construction, changes in infrastructure, and local businesses. And this is just the tip of the iceberg.

Use the Internet as a tool but don't get too bogged down. Save items in a folder on your computer, or print out the information and put it in a physical file for future reference.

Attorneys

Real estate attorneys in particular are a great resource because many of their clients are owners and they will know who is interested in selling their property. However, Estate Planning, Bankruptcy, Probate, Title, and Family Law attorneys can also be excellent resources.

Courthouse

It may be well worth your time to visit the Courthouse in the community where you're considering buying property. Courthouse records can be an invaluable source of information.

For example, one way to find opportunities is to do a search of the records in your desired area for "hold period." Here you are looking for properties that have been held for 10 years or longer. In addition to the usual reasons owners may have for being interested in "moving on," after this length of time the tax advantages of owning the property are starting to diminish.

If you can't, or prefer not to visit the Courthouse in person, you may be able to search these tax records on the Internet.

Newspapers

Check your local newspapers for “For Sale” ads. Also look for “For Rent” ads, which can make you aware of properties. As we discussed above, you can approach the owners to see if they have any interest in selling.

Lenders

Check with local lenders who may have lists of properties they have foreclosed on and now have available for sale.

For Sale by Owners (FSBO)

Some owners choose to save the expense of a real estate agent and list their property for sale themselves. In some cases they may price their property for less, but often they maintain a higher price so they can keep a greater amount of the proceeds. And sometimes they overvalue their property and actually charge more.

Typically, these individuals are not properly prepared to undertake selling activities and are not as effective, which means the property may remain on the market longer. Be careful in working with these sellers, as they may have cut corners elsewhere on the property to increase their profits.

Driving for Dollars

After you have identified the neighborhoods in which you would like to buy, drive through these areas and see if there are any properties that are in need of repair or where the grass is overgrown. This could be an indication that the owner is not interested in or capable of maintaining the property, and may be receptive to selling.

As I suggested for leads found through Craigslist, when you see a “For rent sign,” call the owner to see if there is any interest in selling. If not, find out if that owner is also a buyer you could refer other deals to.

Property Managers

This source is mostly overlooked by inexperienced investors. But, I find it one

of the best resources for opportunities. Who would know more about the idea of selling a property, than the person or company that is managing it.

Secret TIP: Situations are always changing. You may talk to an owner one day who has no interest in selling. But six months later he may have run into hard financial times. Or maybe he's decided it's time to retire. If you find a property you're interested in, check back every now and then to see if the owner has changed his mind and is now interested in hearing an offer from you.

Mining for Gold – a Property Checklist

When you speak to a prospective seller, or your real estate agent presents you with an opportunity, you will want to get as much information about the property as possible so that you can decide whether this is, in fact, a good deal for you.

Over the years, I have created and added to my own personal property checklist. Part of this checklist covers the initial questions that you should ask to help you decide if a property is a potential candidate and worthy of further analysis. This checklist is included in the Appendix at the end of this Book.

I suggest that when considering a property, you do your research to learn the answers to all of these questions. This will help you determine at the outset whether the property meets your basic criteria. If it does not, there is no need to commit the time to analyze the financial data. However, if the property appears to be a good fit, then you will be ready to proceed to the financial analysis.

Secret TIP: Keep a record of the checklists you draw up for each property you consider. Make notes over time as you learn how each deal turns out. If you can get the information, keep tabs on properties you considered but didn't buy. For example, if the person who bought the property instead of you sold the building several years later, find out how much it sold for. In this

way you can get a feel for what factors were important or not in determining investment outcome.

More Ways to Find the Deals

Now I want to return to the question of where you will find your best properties to purchase. The members of the team you build can help you locate some great deals, but in this Chapter, I want to focus on another method you can use that does not involve your team. It involves using a form of advertising known as direct mail, where you send out mailings to property owners located in your area of interest.

About Direct Mail

I have carried out direct mail campaigns on many occasions, with excellent results. This is a fast and easy way to reach many motivated sellers at one time.

An important step in setting up such an advertising program is to identify property owners to mail to. One of the best ways to do this is to use the services of a professional "list broker." A list broker specializes in collecting the names and contact information on a wide variety of individuals who are placed in categories based on a number of criteria. You tell the list broker what you are looking for, and he or she will select names that fit your needs.

You can find a list broker by simply searching "list broker" on the Internet. Another source for apartment owner mailing lists is Corelogic (Corelogic.com).

Once you have your list broker identified, request a list of property owners based on the criteria you have decided on. For example, you might specify the size of the property (number of units), geographic area, price range, etc. The list broker will then provide you with the names and addresses of property owners that match your requirements. Usually, your purchase price gives you

the right to mail to the list one time.

> ***Secret Tip*:** Make sure the list you use is current. Ask the list broker when it was last updated. Lists are usually updated quarterly. If you are close to the cut off date for the next quarter, you may want to wait for the new list to be available. In our mobile society, the more up-to-date the list, the better. Otherwise, you could be wasting your money, mailing to people who no longer exist at those addresses – and missing out on the real opportunities.

I have also had good luck combing the websites of appraisal districts, or contacting these districts directly to request a list of apartment properties that includes the owner's address. This is an excellent option if it is available, since you can get a list that does not cost any money.

Another approach is to target real estate brokers who have apartment listings. Here again, you may get a perfectly suitable list for free. Or, if you want to target a large number of real estate brokers at one time, you may be able to purchase a list of their names.

Once you have your list, your next step is to send out a letter to each of the names on the list. Let the property owners know that you are interested in purchasing their property, and if they are considering selling, you would welcome having them contact you to discuss the matter further.

If you are mailing to brokers, you could just let them know that you are interested in purchasing properties that meet certain criteria. Ask them to contact you if they know of any available properties that you might consider.

I have included a few examples of letters that work very well in the Appendix. Obviously, there are many ways to approach potential buyers in a letter, but I have always preferred a low-key, no-nonsense approach as a way to differentiate myself from other real estate investors.

It may take extra effort, but the more personalized the letter can be, the better. You can use a form letter, but do put the recipients name in the salutation line

(Dear Mr. Smith) and refer to the specific property by address, if you have one in mind.

Secrets to Using Direct Mail Successfully

Over the years I've refined my approach to running a direct mail campaign. Here are some tips I've developed from my own experience, and that I use myself:

1. Use a #10 business envelope. I have found that compared to sending postcards, or using odd-shaped envelopes, the regular #10 envelope has the best response rate.

2. Always use a live, first-class stamp. This makes the letter look more personal than metered mail, or a bulk rate stamp.

3. Laser print the address on the envelope using a Times New Roman font. This font is easy to read, and again, makes it look more like a personal letter than something sent by a slick advertising agency.

4. For the return address, I only put my address without my name. This appeals to the recipients' curiosity and increases the likelihood that they will open and read the letter.

5. I use a plain white envelope versus an envelope with a logo. Again, I find that the more personal the letter looks, as opposed to looking like a piece of business correspondence, the more likely it is to be opened.

6. I always hand sign each letter, and include a business card. When I make this extra effort I find I get my highest response rate. It makes the recipient feel that he is dealing with a real human being, and not some cold corporation.

7. Mail the right number of letters for the area you're targeting. You can mail small quantities in a small neighborhood, or you can mail hundreds at a time if you're targeting a larger city. You might

consider hiring a college student to help you get out a larger mailing. The greater number of leads you get in response will make the expense well worth it.

8. I like to mail to the owner's business address (if he has one) and reference the property name and the city where it is located.

9. Provide a phone number where you can be called. In the past I have requested owners to respond via email, by fax, by filling out a web form, or by placing a phone call. Of all these "calls to action," the highest response rate has always been by phone. So now I just provide a phone number to call.

10. I always look at the calendar before mailing. I try to avoid mailing on dates that would mean my letter would be received during a holiday period.

One of the advantages of sending a letter is that people may keep it around for a long time, just in case they might be interested in selling one day. You may send out seeds today that could come to fruition several years from now.

CHAPTER 8

How to Analyze a Winning Deal

Before you can make an offer on a property, you need to determine how much it will be worth to you to own it.

One way of determining the value of a property is to look at comparable sales data for similar properties in the area. The smaller the property is (for example, a two to six unit building), the larger the role that recent, comparable sales data or "comps" will play in determining value. "Comps" involve what similar, nearby properties have sold for, usually in the last six months. When you buy larger properties, you will generally look at comps on a "per door" basis rather than considering the full sales amount.

In my opinion, comparables should be looked at to ensure that the asking price is in the ballpark, but they should be used more as an *indicator* than a direct determiner of the price you should offer.

Another way to determine the value of a property is to look at the market rents in the neighborhood of the building under consideration. What will the market bear in that area? You must do your due diligence and be versed in what these rent amounts are so you can estimate whether your income from the property will cover your expenses and provide you with a nice return on your investment.

Of these different methods that can be used to determine a property's value, when it comes to income-producing properties, I generally like to assign a value based on the net income the property brings in.

Let's revisit an equation we looked at earlier in this Book. As we saw earlier, the return on investment is the amount of money we project we can make from an investment, calculated by determining the relationship between the projected gain from the investment and the potential cost, using the following formula:

$$\text{ROI} = \frac{\text{Cash Flow Annually from the Asset}}{\text{Initial Investment into the Asset}}$$

This formula tells us what we can make on the investment based on the cost of the property. But this is only part of the story. Aside from the ROI, we need to have an idea of the value of this property to us: what are we willing to pay for the property and what do we think it is worth?

The above formula is quite broad in nature and really more applicable to determine how we did at the time we liquidate an investment. But, since at this point we are trying to decide what a property is worth to us today, we need to use a different formula that can be broken down into more applicable and manageable pieces.

Capitalization Rate – The Amazing "Multiplier Factor"

The most widely used method to determine the value of commercial properties at the time of sale is the capitalization rate method. This is generally referred to as a "cap" rate and it is the ratio between the net income and the selling price.

$$\text{Cap Rate} = \frac{\text{Net Operating Income}}{\text{Value (Asking Price)}}$$

As an example, let's say you know the NOI of a property is $100,000, and the asking price of the property is $1,000,000. Plugging these figures into the above equation, we now know the seller is offering a cap rate of 10%.

Actually, you can use different versions of the equation to calculate the third factor, as long as you know two of the three variables. For example, another way to state the formula is like this:

Net Operating Income = Value (Asking Price) x Cap Rate

So if we know the value of a property is $1,000,000 and the cap rate is 10% (or 0.10), we can expect the NOI to be $100,000. When we discuss cap rate in this context, we are referring to the market cap rate. The market cap rate would

take into consideration all of the properties that have sold in the near location and calculates its net operating income and how that relates to its sales price.

Here's another version of the equation:

$$\text{Value (Asking Price)} = \frac{\text{Net Operating Income}}{\text{Cap Rate}}$$

Here we know that if the NOI is $100,000, and the desired cap rate is 10%, that means the property should sell for $1,000,000.

There is an inverse relationship between cap rates and selling prices. In other words, the higher the cap rate, the lower the selling price.

There is also a relationship regarding the perceived risk and cap rates. In general, the lower the cap rate, the safer the investment is perceived to be. Investments that are perceived as being more risky usually trade at a higher cap rate. Most of the time, that has to do with the stability of the income.

Here is a list of factors that affect cap rates:

1. First and foremost is what comparable properties are trading for. This is usually the starting point.
2. Next are factors that are property specific. For example, what is the condition of the roof? Is there a significant amount of deferred maintenance?
3. Financing issues must be considered. For example, what interest rates are achievable? What are the loan terms and how easy will it be to obtain financing?
4. Difficulty in management: How much time must be put in to manage this investment?
5. Change in market conditions: If the market is improving, you might be motivated to pay more (lower cap rate) than you would if there is an unfavorable market outlook.

At the end of the day, the cap rate will play an important factor in determining what you are comfortable paying for the property. You must do your homework

and decide what is appropriate. Just remember, the higher the cap rate, the more return you can potentially see on an annual basis. Key word being potential. Sometimes its said, you want to achieve the highest cap rate that you can, keeping in mind your risk tolerance. As a seller you will want the lowest rate possible.

Now, let's break this down further:

Net Operating Income = Total Gross Income - Total Operating Expenses where

Total Gross Income = tenant rent + other income such as laundry room collections, late fees, utility reimbursements and tenant services.

Total Operating Expenses = The expenses to operate the property such as property taxes, insurance, repairs and maintenance, leasing and management fees, administrative expenses, utilities, contract services, and legal/permits.

Note that mortgage or debt expenses are not a part of Operating Expenses.

Never buy someone else's fantasy. A point of clarification: when referencing "net operating income," I am referring to actual net operating income and not proforma net operating income. Proforma financials are based on assumptions or projections. Never, never rely on someone else's proforma numbers. These are usually pie-in-the-sky numbers that represent best-case scenarios with little to no regard for contingencies.

For instance, the seller may try to give you numbers that are really projections, based on the premise that 100% of the units will be leased 100% of the time and that 100% of your tenants will pay on time and there are no write-offs. Combine that with projections based on expenses that never rise, and that nothing ever breaks, and the picture could seem much rosier than warranted. I don't know about you, but I have been involved with all types of properties, and I can't say that this ideal has ever been met.

Later on, you may calculate your own proforma numbers, which are based on YOUR realistic and researched predictions for the property given your plans

to raise rents, reduce operating costs, etc. But these projections should not be used to formulate your first offer on the property.

To effectively analyze the property, you will need the most recent 12 months of financials. (Sometimes when you have most of the current year's numbers, you can use those and annualize the numbers. That means, if you have the financials through October, you can divide by 10 months to get the monthly cost, and then multiply by 12 to project the likely total cost for this year.)

Armed with the financials, you can perform your own simple analysis or you can plug the figures into an excel-based template that will calculate the cap rate based on the asking price and tell you quickly if this is a deal that might fit your criteria.

If you are going to finance your purchase (which leverages your resources, and is a great way to increase your return), you will want to input the likely terms into this template. Obtain these terms from your loan officer or mortgage broker and then use the template to see how the deal performs under this scenario.

After you have input the actual numbers and anticipated loan terms, you will have metrics to help you decide how much you are willing to pay and the projected returns on your investment.

Remember, in real estate investments, there are additional components that should be considered in formulating your offer price:

1. Cash flow is the money that is left over after rent is received and expenses and the mortgage are paid.
2. Appreciation is the increase in value of the property over time.
3. Growth in equity is created with the gradual reduction of principal of the mortgage or Deed of Trust as you make monthly payments.
4. Tax benefits, specifically interest deductions and depreciations, will reduce an investor's tax liability.

Any of these components can influence a property's value positively or negatively, so you will want to look at each of them.

Now, if all of this seems complicated and complex, keep in mind, that there are simple templates available that allow you to simply input these components. The software will calculate these returns for you, giving you a simple tool you can use to evaluate your properties.

Even if you use a tool like this, you still must understand each of these elements and be able to quantify them. Think of these four components as equal parts of a pie and each part plays a role in determining the output of your investment. Now realize that each investment will look different from others. Some may have more cash flow while others may have more appreciation. Each factor adds its part to the total return you can project to make on a property. It's the bottom line that will ultimately determine the kind of offer you're willing to make.

Let's finish with a helpful example of a cap rate calculation. We obtained the following information on annual income and expense data from the seller of a 10-unit property.

Financials show that $81,000 was collected in rents, $2,025 was collected in late fees, and $600 was collected in vending income. Adding it all up, the total gross rent is **$83,625.**

We also receive information that annual expenses are running at $40,625 for all the operating categories. This means our NOI is $43,000 or

$$\begin{array}{l} \$83{,}625 \\ \underline{-\ 40{,}625} \\ \$43{,}000 \text{ NOI} \end{array}$$

The Seller has an asking price of $430,000.

Based on this information we can solve for cap rate:

$$\text{Cap Rate} = \frac{\$430{,}000}{\$43{,}000}$$

So Cap rate = 10%

There are a few exercises in the Appendix you can use to practice making these calculations. Next we'll look at a few other issues that can help you make your investment decisions.

Cash-on-Cash Return

The aspect of property valuation that I am most interested in is Cash-on-Cash return, because that figure tells me how much I can immediately start earning on a property. In essence, what this figure tells you is this: if you invested $1.00, how much of that dollar will you get back at the end of the year?

The formula looks like this:

$$\text{C on C Return} = \frac{\text{Cash flow (NOI - Debt Service)}}{\text{Total Amount Invested (down payment + costs to acquire)}}$$

For example, if the cash flow were $10,000 on a $100,000 investment, your cash-on-cash return would be 10%.

$$\frac{\$10{,}000}{\$100{,}000} = 10\% \text{ cash-on-cash return}$$

Debt Service Coverage Ratio (DSCR)

Simply stated, this ratio determines that there is at least enough income to pay the mortgage expense. It is a ratio used by lenders in determining income property loans. This ratio should always be greater than 1 and a good rule of thumb is that it is better if it is at least 1.25. This would mean that the property is generating enough income to pay its debt service with funds left over to pay for "rainy day" events.

$$\text{DSCR} = \frac{\text{Net Operating Income}}{\text{Debt Service}}$$

Exit Strategies – Your BIG Payday

As a part of your evaluation of any potential investment, you will want to think

about your goals and your exit strategy. Always plan how and when you will get out of your investment at the very moment that you are getting into it. In his landmark book, *The 7 Habits of Highly Effective People*, Stephen R. Covey calls the second habit: Begin With The End In Mind. This is certainly true for successful real estate investing.

A savvy investor will think a deal through to the end and have the complete plan in mind. Here are several ways to dispose of a real estate investment in order to maximize your profits:

Quick Turn or Flip

This involves acquiring the property at a discount; making changes, improvements or corrections; and then reselling within a short time period. In the commercial real estate industry, this is sometimes referred to as repositioning. Note that the larger the project, the longer it will take to turn it around. Think of the difference between a speedboat and a cruise ship making a u-turn.

Forced Appreciation

This involves making small improvements in a number of areas that add up to a big increase in the value. This is my specialty and my favorite way to operate a property because it is a win-win for both the owner who makes more money, and the residents who enjoy the improvements.

There are a number of areas where simple improvements can instantly increase the value of the property:

- Make exterior Improvements (always start there because that is what everyone sees).
- Make interior improvements or unit upgrades.
- Cure and eliminate any deferred maintenance (rotting wood, leaking roofs, etc.).
- Raise rents.

- Reduce operating expenses (this can begin on Day One of your ownership).
- Create additional revenue streams such as billing back utilities previously paid by the owner.

Refinance

As you increase the NOI of the property, you increase its value. With a dramatically improved value, you will be able to refinance and "pull" money out of the deal. This was a commonly used strategy a few years ago; however, in today's lending environment, you will need to adequately demonstrate the increase in value to receive serious consideration from a lender. Earlier in my career, I became a specialist at this. I would continually increase the value in a property only to pull that new value out to buy more units. I call this technique, "prime the pump".

Sell with Owner Financing

You could carry a short-term note to achieve the maximum sale price while you hold on to your collateral.

1031 Exchange

A 1031 exchange, otherwise known as a tax-deferred exchange, is a simple strategy that allows you to sell one property and then proceed with the acquisition of another property within a specific time frame. This process is advantageous because the entire transaction is treated as an *exchange* rather than a simple sale, and in the end allows the taxpayer/seller to qualify for a deferred gain treatment. So in simple terms, sales are taxable with the IRS, but 1031 exchanges are not.

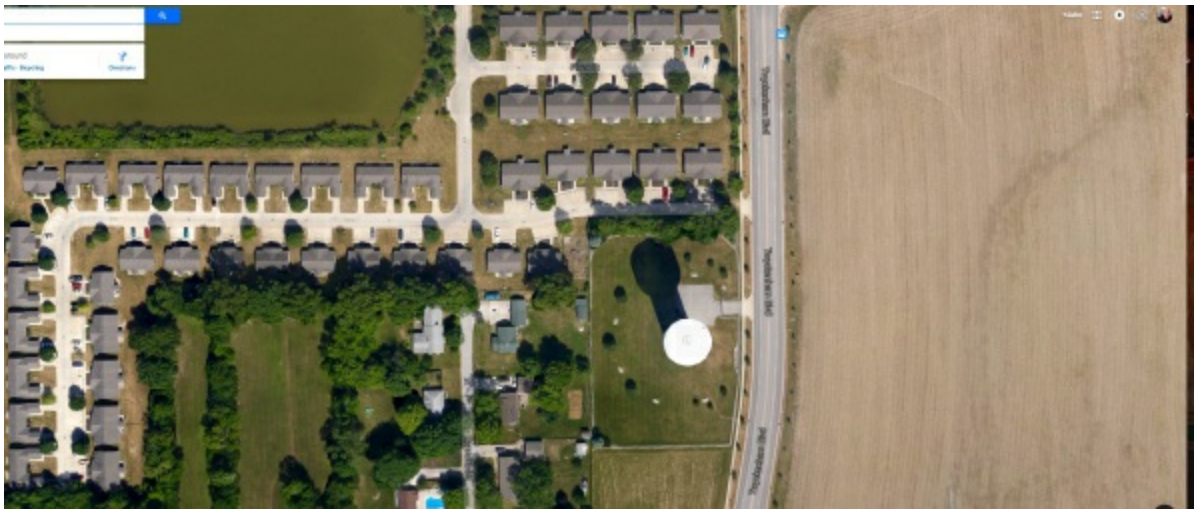
Condominium Conversion

While today's lending environment creates additional challenges for the end-user, converting a rental community to a condominium property is still a viable strategy that can bring profits to investors.

Divide and Conquer Technique

This is a concept that I use exclusively and have made more money with in my real estate investing career than anything else. Basically, it is best if you have me teach it to you in one of my events, but in short its about re-packaging the property based on it's current packaging and value.

Secret TIP: Don't let the numbers intimidate you. Sit down with the equations and make up some imaginary deals, filling in the different figures with numbers you create. Work the equations over and over until you feel comfortable with them and the concepts behind them.



This is one of my multi-family projects(A neighborhood of duplexes) in which I made $2,500,000 in Lafayette, Indiana using the Divide and Conquer technique.

CHAPTER 9

Offers, Letters of Intent (LOI), and Purchase Agreements

Offers and Letters of Intent

When purchasing a smaller property (from two to six units), you can submit your offer on a form that would normally be used for acquiring single-family homes. When you are purchasing larger properties, the initial offer is generally presented in the form of a Letter of Intent (LOI).

The length and complexity of an LOI can vary greatly; however an example can be found in the Appendix. Using an LOI is a simple, yet effective way to negotiate.

Often, I like to offer an LOI that presents two options to the seller. Here's an example of how you might use this strategy: if you know that the seller will consider offering some financing, you can present one offer for a slightly higher price which also has a component for the seller to carry a portion of the down payment for a determined amount of time. You can also offer another scenario that does not include owner financing but that offers less for the property. You have strengthened your LOI by presenting two scenarios, one of which will likely appeal to the seller.

The seller will gravitate to whichever offer he prefers, and you can negotiate from there.

When I started out investing on my own, I used a lengthy LOI that included numerous details, stipulations and terms. Over time, I have shifted to presenting very simple Letters of Intent that focus on the most important details that a seller and a buyer will want to agree upon before proceeding to draft a Purchase and Sale Agreement.

Your goal is to make at least two offers a week for two reasons: (1) you want

to get comfortable with the process, and (2) you will find that only a fraction of your offers turn into viable deals. The more offers you make, the more deals you can complete.

Secret TIP: When you are first starting out and nervous about talking to brokers or sellers, you can do what a mentor once had me do: find a property on Loopnet that fits your criteria but is located in an entirely different market – maybe even in another state. Contact the seller or broker and request the financial information. Ask the questions you would ask if this property were located in your hometown and you were seriously interested. After you receive the information, take a look at the numbers and calculate what you would be willing to pay for the property. Many properties on Loopnet are overpriced so it is likely that your price will be far below the asking price.

Put together an LOI and fax or email it over to the seller or broker. They may respond, but if you are way under the asking price, you might not hear back. Either way, this is not a deal that will go anywhere. But it is a great exercise for you and you don't have to worry about coming across as a "newbie" as the property is halfway across the country and you will never have to speak to this person again. This is a great opportunity to conduct a test drive without worrying about making mistakes.

That said, I am a stickler about not wasting people's time, so just try this once and then move on to viable properties that you are actually interested in purchasing.

I suggest having the following items as a minimum in your LOI. An example has been included in the Appendix:

- Your name and address
- The property name and/or address
- The seller's ownership of record (ABC Apartments, LLC)
- The seller's name
- Purchase price
- Proposed time frame: (1) Inspection period

(2) Financing period

- Earnest Money deposit
- The loan terms you will purchase the property with
- Access: Seller must agree to provide access to the property for inspections.
- Commissions: Seller agrees to pay any agreed upon commissions at closing.
- Verbiage stating that the LOI is non-binding. (In other words, neither party is legally bound by this document; however it is used to create what will be the binding agreement: the Purchase and Sale Agreement.)

Using a Letter of Intent provides the opportunity for you and the seller to go back and forth and negotiate key deal points in a simple format. You can use revised editions of an Offer Letter and LOI to make counter offers until you have reached an agreement. Then you can proceed to a legal document: the Purchase and Sale Agreement (P and S Agreement). Your Letter of Intent should be non-binding.

Purchase and Sale Agreement

Once you have an agreed upon Letter of Intent with the seller, a Purchase and Sale Agreement is drawn up. There is no such thing as a "boiler plate" agreement. However, your real estate agent may have an agreement that he/she prefers, or the seller may want to use a form he/she is familiar with.

It is best to have your real estate attorney review the contract and provide any comments he/she wants incorporated into the agreement for your protection. Do not overly rely on your attorney, however. You are the one who will be ultimately responsible, so you must read and understand the agreement as well.

In particular, make sure the Purchase and Sale Agreement reflects the terms you agreed to in your Letter of Intent and make sure you understand the implications and your responsibilities that are detailed in the P and S Agreement. Provide your attorney a copy of the signed Letter of Intent for comparison, and then verify yourself.

Secret TIP: Include a provision that any vacant units at the time of closing must be in "make-ready" condition. This means that they are completely ready for a tenant to move in with fresh paint, clean floors, and working appliances. Not only will that save you time, but it will save you a lot of money, too!

CHAPTER 10

Negotiation and Formulating Offers

When you identify a potential property to purchase, you will collect information about the neighborhood, the condition of the property, the rents in the area, etc. Then based on what you think the property is worth to you, and what you can afford, you will have an idea of what you are willing to pay.

Meanwhile the seller will also have an idea of what he wants to receive for the property, which will most likely be higher than the figure you arrived at. This is not a problem. This is to be expected, and it is the starting point of any deal.

The art of negotiation is the process of getting the two of you to agree on a figure that satisfies both of you.

The amount of profit you realize from a deal depends on your ability to negotiate a favorable price from the seller. Fortunately, negotiation is a skill you can develop. Follow certain basic rules and you can get the seller to let you have a property for the price you want (or close to it), and he or she will still feel good about the outcome.

General Rules of Negotiating

Experts on the negotiation process generally agree that the following main points are essential to a favorable outcome.

Know the Other Party

Before you enter into any negotiation on a property, it is wise to get as much information as you can about your sellers and their history with the property.

For example, are the sellers professional real estate entrepreneurs (like you), or are they perhaps family members who inherited the property and don't really want to have to deal with managing it? Are they in a position financially

where they're able to hang on as long as they have to, waiting for the best offer to come along, or are they in financial trouble and need to resolve this sale quickly? Do they own the property free and clear and they may agree to seller financing?

Knowing this information will help you negotiate to your own advantage. For example, a seller who is a professional in commercial real estate will probably be more likely to play hardball than someone who inherited the property and just wants to get the cash and be done with it.

By knowing the other party's situation, wants, and needs, you will have a better idea of how to couch your offer, what kind of demands you can present, and how willing you will have to be to make concessions.

Ask and You May Receive

The more you ask for (in terms of price, concessions, etc.) from the beginning, the better the deal you'll end up getting. Don't be afraid to ask for a better deal (within reason).

You may feel tempted to not ask for a better price or for concessions that you think might upset the seller, but don't let your discomfort stand in the way of putting yourself in a better position. Asking for more leaves you room to negotiate. If you come in from the outset with your best offer, you will have to negotiate down from there, and the deal may turn out not to be worthwhile after all.

Put on Your Poker Face

Don't reveal information that will benefit the seller (such as how eager you are for the property, or how much you can pay). In fact, it's better to give the impression that you're not that interested, and you're not willing to pay very much. It is better to seem reluctant about the deal than over excited.

At the same time, ask questions to get the seller to reveal information about his own situation that will help you.

Be aware that the seller will be trying to get as much information out of you as possible, without revealing too much about himself. So stay alert during your meetings and play things "close to the vest."

Never Accept the Seller's First Offer

Negotiation is a dance that can take time. The first offer is an opening – an invitation. Whatever the seller asks for in the listing is the beginning of the process. The seller probably does not expect to get what he asks for in his opening offer. He's just testing your limits and has exaggerated the value of the property so he has room to negotiate.

Your counter offer is the next step, but by no means the final one. Be ready to counter offer as many times as necessary to get the price and the terms you feel comfortable with.

Know What's Important to You – and What You Are Willing to Let Go

Enter the negotiation with a list of demands. In your own mind you will know which are deal breakers, and which you can let go of. This is the kind of information that you don't want to give away too early.

Don't be too quick to make concessions on the terms that are really important to you. Use the ones you don't care as much about as bargaining chips.

Bracket Your Counter Offers

Ongoing negotiations tend to follow a pattern of homing in on the price acceptable to both buyer and seller.

For example, let's say you want to pay $350,000 for a property. The owner's opening offer is $400,000. If you begin by offering $350,000 you'll end up paying more, so you open at $325,000. Then the owner may come back with $375,000. You could counter with $350,000, but then the owner may counter with $365,000 and you'll end up paying the higher price. So instead, you counter with $335,000. Now the owner may come back with $350,000 – the price you wanted to pay – and you accept.

It's all about taking the right steps to get what you want.

Strike the Right Tone

The way you present yourself during the negotiation is critical. On the one hand, you want to appear cordial and cooperative. In business you want to build on your relationships. You certainly don't want to antagonize anyone by being unpleasant, unreasonable, and demanding.

On the other hand, you don't want to seem weak and uninformed about the value of the property. You want the seller to know that you won't be pushed around and you have the information to back yourself up.

In the ideal situation, all parties will come away from the negotiation feeling that they have won something. The good will you develop from being a knowledgeable and ethical businessperson will help you build a network of colleagues that you will benefit from throughout your real estate career.

In Summary, Have a Plan and Stick to it

On entering the negotiation, already have worked out in your mind what you want to pay and how you will get there. Plan in advance how you will respond to the seller's possible demands and counter offers. And at what point you will walk away from the deal if it's not going in your favor.

Remember, this is business. Don't get so emotionally attached to a property that you forget to work toward a deal that will ultimately be profitable to you. Having your targets and limits worked out ahead of time will put you in a position of power.

Formulating Offers

Now, let's look at the specific process of formulating and presenting an offer.

In the best situation, you will be able to get the seller to reveal the lowest price and terms that would be acceptable before you make an offer. This is not generally the way it works, however. At the start you will know the list price

of the property, and then, based on your own research, you will have to arrive at your own first offer.

To do this you will have to do your homework and calculate a fair market price for the property. You will also come in with special requirements (such as a list of what you want included in the deal, desired closing date, etc.) If you are working with a real estate agent, your agent will help you decide how to state your offer as well.

Remember that in deciding how much to offer, you want to leave yourself room to come up on your offer in the event the seller makes a counter offer (which is likely), yet you want your offer to be high enough to get the seller's attention.

As a general rule of thumb, I suggest you start with an offer for 80 percent of the asking price, providing that price falls within your acceptable range.

Another possible starting point is to begin ten percent below your "strike price," where the strike price is the maximum amount you are willing to pay for the property. Never exceed your strike price. I have walked away from countless deals when the seller could not meet my price. I purchased a property by walking away and being called back six months later.

Once the initial offer has been made, there will be series of counter offers, as we saw above. Here is where you must maintain your resolve to get your best deal possible. You may be tempted to let certain aspects of the deal slide, but don't do it if you're only making these concessions because you want the whole thing to be done with.

It is common for people to become more flexible as negotiations drag on. This can be in your favor if the seller is the one who is eager, but it can work against you if you're the one who is making the concessions. Keep in mind that this is your money and your business and it is important to get the best deal possible.

Also, never counter yourself. In other words, as the negotiations proceed, make sure that the seller responds to each offer with a counter offer – in writing – before you make any further offers. First, you do not want to bid against

yourself. And second, I have found that if a seller will not take the time to do this, he or she is not serious and the negotiating will be probably turn out to be a fruitless waste of time anyway. I do not mind if sellers write their counter offer on my Letter of Intent, but I do want to see that they are engaged in the process by taking the time to write something down on paper.

More Keys to Power Negotiation

Here are some more ideas you can use to strengthen your skills as a negotiator:

- Try never to appear too eager. The more reluctant you appear, the more the seller will feel that he will be required to make concessions if this deal is going to get off the ground.

- If you have partners in your business you can use them to your advantage. For example, if you feel you're being pushed into a corner, you can buy time by excusing yourself and saying you have to consult your partner. Then you can come back and say your partner (the "bad cop" in the "good cop, bad cop" scenario) just won't agree to those terms. This may get the seller to move away from the demands you object to.

- Be willing to walk away from a deal that isn't right for you, and make sure the seller knows it.

- If negotiations come to an impasse, a third party can help iron out the details. If that third party can be someone sympathetic to you, all the better. But for the mediation to be satisfactory to both sides, the mediator must establish an appearance of neutrality.

- Always get something in exchange for a concession (for example, if you come up in price, you might ask for an extra week to do your due diligence.)

- As offers and counter offers proceed, always make small moves in price concession and never split 50/50 until the very end.

- Strange things can show up in a contract that you don't remember having agreed to. Always read every contract carefully so you don't end up with nasty surprises down the line.

Secret TIP: Be aware of a process called "nibbling." Some sellers may come back after you think the deal has been concluded, but before the papers have been signed, and ask for some concession. At this point, fearing the whole deal could fall apart, you may think you have to give in. Don't ever give in automatically. Decide whether you can live with the change. And "nibble" back by agreeing to the change if the seller makes some other concession.
Remember, nothing is done until the papers are signed and the deed is recorded. Be prepared to negotiate until the bitter end.

If you've never done it, the whole idea of negotiating may seem daunting at first. But it can actually be a fascinating and fun process. And you won't be a beginner forever. With practice you will get better and better at it.

There's only one way to get the experience you need, and that is to get out there and make offers. You may make a few mistakes when you're first starting out, but you'll learn in the process, and the lessons will be invaluable.

Having gone through it all myself, I understand that you may be nervous in making your initial offers, but trust me, it gets easier and easier. Soon you will be writing offers as easily as you write an email. And you will be negotiating with knowledge and confidence.

Once you have gone through the negotiation process, and you have come to terms with the seller, you will proceed to the drawing up of a Purchase and Sale Agreement (which we looked at in Chapter 9).

Working With Brokers and Making Offers

In this chapter we'll focus on two different aspects of running your property investment business. First we'll look at issues related to working with a

commercial real estate broker versus acting on your own. Then we'll look at steps to follow to make successful offers to purchase a property.

Working with Commercial Brokers: Yes or No?

There are two basic ways to go about purchasing a property: (1) you can represent yourself and work directly with a seller or seller's broker, or (2) you can use a broker or realtor to represent you. Each approach has its advantages and disadvantages. Over the years, I have purchased properties both ways.

If you are fortunate enough to find an agent or broker who satisfies all of your criteria and whom you are comfortable working with, this can be a great situation. Your broker can provide you with a wealth of information and can act as a buffer between you and the seller.

On the other hand, many times I prefer to act as a "free agent" and contact listing brokers (those who represent the sellers) directly. I find that this puts me in charge and I have more control of things on my end. But both approaches can work, and you may find yourself using both ways, as I do, depending on the situation.

Regardless of whether the broker is representing the seller or may soon be representing you, I recommend that you only cold call a broker about a *specific* property. It has been said that brokers have "Four Levels of Affection." They *dislike* you if you're a tire-kicker or an amateur; they *like* you if you give a well-presented offer; they *love* you if you sign up a property; they *marry* you if you close a deal. Calling about a specific property, helps you avoid being seen as a tire-kicker and newbie.

If cold-calling a broker is out of your comfort zone, and especially when you're new at this, I urge you to use a script. I have included a simple script in the Appendix. However, all you need to do is think out what your objectives are and write them down before you make the call. Have all your questions written out so you don't forget important points. This will make you feel more comfortable, you'll be more effective, and this will result in you developing greater rapport with the brokers you call. Over time, these conversations will

become easier as you build your knowledge and thus your confidence.

I've provided two scripts to reference: the first assumes you are familiar with the market you're calling about, and the second is to be used when you are not familiar with the market.

Always keep in mind that as much as is possible, you want to create a mutually-beneficial relationship with a broker that's built on trust and professionalism. Be honest and straightforward, and try to get a sense of the kind of businessperson the broker is.

Making Offers

When you are purchasing larger properties, there are more opportunities to be creative in how you couch your offer, and your offers can become more complex. Here are several basic components to negotiating a multi-family property.

1. Do your homework. Knowledge is power and the more you know about the property, the neighborhood, and the seller, the better negotiator you will be.

2. Know what is motivating the seller. Find out all you can about the seller and his/her situation. The more you know about the seller's "hot buttons," the more you will be at an advantage. If you are working with his/her broker, be aware that you will hear many half-truths about why the seller wants to sell. They may tell you that the seller is ready to move on to greener pastures and just wants to reinvest in something closer to home, for example, when the real reason is that there is a tremendous amount of deferred maintenance hiding under the surface of the property, and you will get stuck paying for all of the repairs. Just proceed with caution, be inwardly cynical, and do your homework.

3. Be prepared with an alternative offer. I have never had my first offer accepted without a counter offer being made. I always believe that's a good thing, because if my first offer was accepted,

it would mean that I was offering too much!

Your initial offer should be geared toward making your "A" plan work. When it becomes obvious that plan "A" is not going to happen, then you must be prepared to go to Plan "B." If plan "B" is not accepted, then you move to plan "C," and so forth.

Be prepared to make concessions, but know which points you will not budge on. The more you can structure a win-win situation, the greater your chances will be for an accepted offer.

4. Justify your offer. Assuming the seller is a rational human being, you can use the operating statement or financial performance of the property to justify the price you want to pay. You can show the seller what similar properties have sold for in this area. Show him what the market cap rate is for a property with the same characteristics.

   Do this by giving him an actual comparable of properties that have sold. Demonstrate how you used these numbers to arrive at your offer price.

   If he is reasonable, he will give you a counter offer that is much closer to what you are willing to pay. If he does not, move on to the next property. He might even call you back down the road after more (would-be) buyers have educated him on the market!

***Secret Tip*:** Negotiations can sometimes get difficult, but always maintain a professional demeanor and try to leave things on a positive note, even in a failed deal. You never know how situations may change and turn back in your favor. The old maxim about not burning bridges is important to remember.

CHAPTER 11

Taking a Fork in the Road: Wholesaling Commercial Properties

So far in this Book we have looked at methods for investing in real estate where you purchase a property with the intention of holding it for a while. In this chapter you will be introduced to an alternative strategy: Wholesaling.

I have worked in this area, it is a viable and profitable way to achieve your goals in commercial real estate. One of the primary advantages of wholesaling is that it requires almost no money to succeed.

What is Wholesaling?

Technically, wholesaling is just a variety of property flipping. Specifically, wholesaling involves finding a great deal on a bargain-priced property, placing it under contract, and then quickly assigning the deal to another investor/buyer in return for a "finder's fee" also known as an assignment fee. It is the other investor who closes on the property in your place.

The buyers you assign the deal to are typically professional, private investors with cash and credit, expertise, and the ability to buy quickly at the right price. The advantage to them is that you do all the legwork, finding the great deals. That saves them time and energy, and for them your efforts are well worth the finder's fee.

Wholesaling Versus Fix and Flip

If you think of the "Fix and Flip" or "Rehabbing" side of real estate investing as "buy low, sell high," then the wholesaling side would be "buy low, sell low"– but high enough to make a nice, quick profit, while still leaving a nice profit for the investor or landlord buyer to whom you assign the contract.

Here's why wholesaling is better than "Fix and Flip": With the "Fix and Flip" side of the game, first you have to come up with a down payment. Then you

have to worry about repairs and contractors. But you don't have to bother with *any* of these things as a wholesaler.

Anatomy of a Wholesale Flip

In essence, here are the steps in a typical wholesaling transaction:

1. Susan Wholesaler finds a motivated seller with a distressed duplex.

2. The property is worth $200,000, and needs about $20,000 in repairs.

3. Susan negotiates a great deal, and puts the house under contract for $100,000.

4. Susan does NOT plan to do any repairs, or even actually go to closing.

5. Instead Susan calls up her friend, Larry Investor, and asks him if he's interested in buying the duplex for a total of $115,000 ($15,000 more than Susan's contract price).

6. Larry checks it out and likes what he sees. He's getting a property valued at $200,000 for only $115,000. "Deal!"

7. Susan then assigns her purchase contract to Larry, in return for an "assignment fee" of $15,000.

8. Larry Investor then steps into Susan's shoes (metaphorically speaking) and closes on the $100,000 purchase in place of Susan.

9. Everyone wins. The desperate seller got out of a difficult situation, Larry Investor got a great deal on another rental property he loves, and Susan Wholesaler scored a quick $15,000 "Finder's Fee." And all she did was a little research and negotiating. She didn't invest any of her own money.

Now, this is a highly simplified example using round numbers, but it gives you a good idea of how straightforward the entire wholesaling process can be.

I present this option as an alternative to a buy and hold strategy. The key to success in wholesaling is to know how to find and negotiate the great deals, and then to find the right investor-buyer to assign the contract to.

CHAPTER 12

Add Value to Your Deals

Any time you purchase an investment property, you want to make sure you're getting a good deal. But when you're buying a larger property, you're making a larger investment, and it's even more important that you evaluate its potential accurately. Here are some more advanced ways of looking at the investment value of the property you're considering buying.

Submarket Statistics

When you have a specific deal to analyze, you must drill down to the micro-economics of the market. That means being very detail oriented.

Here are some of the facts you need to know about the property:

1. What is the average price per unit (or sometimes referred to as per "door")? This is the purchase price divided by the number of units at the property.

2. Are concessions generally being given to tenants in the market? (Concessions are various discounts to the tenants such as free rent for a specified period of time, discounted application fees, or reduced security deposits.) If you have to make similar concessions to stay competitive, how will that affect your profit potential?

3. What are the average rental rates in the area for the type of property you are seeking? You should know the current rental rates (already leased) and the asking rental rates (for units that are vacant and on the market). That will tell you where the market is going and what you could charge for units at your property.

Remember that your broker or a property management company can help you with gathering all of this information and the Internet is enormously

informative, too. (see page 27 in Chapter 7.)

Ways to Increase Your Return

You will be fortunate if you can find situations where a property can start bringing you higher returns just by you making one or more relatively simple improvements in its operations. These situations are referred to as "value plays." A commercial broker will know exactly what you mean by this and can help you identify properties that fit this description. In general, what you want to find is a current negative situation at the property that can be easily corrected so that you can begin generating increased income.

Examples of this kind of situation include:

1. Ineffective property management
2. High vacancy rates
3. Below market rents
4. A burned out Landlord (aka, a motivated seller)
5. Above normal expenses

All of these are examples of problems that you can fix, including ineffective property management that may be affecting all the other areas, like low collections, high turnover, high expenses, etc.

Remember in Chapter 8, when we discussed how the sales price will be based on various factors – most importantly net operating income? If you can buy your property based on less favorable numbers and then make improvements, you will quickly increase your return. Refer to Chapter 8 of the main Manual to revisit these fundamentals.

One very effective way to increase income is to charge for additional services. Here are some possibilities:

- Add covered parking. Tenants get shade and shelter for their

vehicles, and you get extra cash.

- Create a DVD rental program (at larger properties). We call this our "video bar." In addition to raising income, it gets your tenants into the office more often and encourages building a friendly relationship, which can, in turn, reduce turnover.

- A trash valet service. This is (almost) like getting money from nothing. You have your maintenance man pick up their trash two times a week and pocket extra cash each month when they pay their rent.

- Cable and Internet services. You can negotiate a multi-year contract with a cable and Internet provider in exchange for an upfront fee. I just renegotiated these agreements at two of my properties and was paid over $25,000!

- Laundry facilities. You can lease equipment through an outside company such as Coin Mach, or purchase your own equipment (which may be preferable to leasing equipment because you can keep 100 percent of the income, providing maintenance and upkeep doesn't become a problem).

- Vending machines. This is "free" money to you and an amenity for your tenants.

Figure out how you can capitalize on these additions and "fixes" when determining the potential value of the property to you, but do not factor these into your offering price. I always tell my brokers that I don't mind doing the work as long as I get paid for my work.



I increased the value on this 52 unit complex I owned in Rensselaer, Indiana by $300,000 in about two years, using the strategies I am giving you in this chapter.

Tip: If you purchase a property in your area, you may be able to purchase vending machines which can be turned over to a son or daughter who can then stock and 'run' their own vending business. My son has a friend who does exactly that. He makes a small income and it provides excellent lessons and training.

Influences on Property Values – Current and Future

Real estate values are in constant motion. Before you buy a property, it's important to understand what factors may influence its value and cause it to move up or down. Then you'll want to do the necessary research concerning these factors before finalizing any deal.

1. Supply and demand: The relationship between the number of people who want to rent versus the number of units available for rent. Consider the situation in the entire neighborhood and how this might change in the near future.

2. Governmental changes: These can be zoning or infrastructure

changes that can positively or negatively affect pricing. Check up on pending changes before buying.

3. Condition of the property: The better the condition, the higher the price. Conversely, poor condition will translate to a lower price. Determine how much work you're willing to put in to improve the condition of a property that you are getting for a lower price, so you can take advantage of a potentially great deal.

4. Functional obsolescence: This is a decline in the value of a property caused by changes in technology that make the existing systems less desirable, or by defects in design, layout, or size of building. Make sure you determine ahead of time whether the property is in danger of losing its ability to perform its function.

5. Existing financing: This is another function of value. For instance, you may be willing to pay more for a property that requires no money down and offers 100% seller financing. Alternatively, you may want to think twice about acquiring a property that requires you to assume a loan for five more years at an above-market interest rate.

6. Seller or buyer's motivation to sell or buy: If the other party is highly motivated to conclude the deal, their degree of willingness will favorably affect the price.

Tip: To keep your occupancy rate up, you need to stay competitive with similar properties in the area. Consider adding amenities that are similar to those offered by other properties, and perhaps that go beyond the norm. Use some of the ideas presented here, and not only can you make more money by charging for these services, but you can maintain tenant loyalty at the same time.

CHAPTER 13

Due Diligence – Where Potential Deals Live or Die

Congratulations! You now have a property under your control, which may shortly be yours! (Okay, maybe that's not the case right now, but it could be very soon.)

Due diligence is the thorough research, analysis, and verification of representations that have been made about the property. It is the process of confirming what you have been told and discovering additional pertinent details (that you have *not* been told, but that you need to know about).

When you start the due diligence process, you should assume that everything you have been told is wrong and you are going to set out to find the truth. Now, this isn't to say that a seller is trying to be dishonest. I have worked with many very knowledgeable and ethical sellers. However, many sellers simply do not know everything about their property. And if you enter a deal based on misrepresentations, it can end up being very costly for you.

It is important to spend an ample amount of time doing due diligence as this is where you will minimize any future unpleasant surprises.

Here is a list of due diligence activities you should perform on every deal you're considering:

1. Audit all leases.
2. Review all contracts.
3. Hire a qualified property inspector.
4. Obtain an inventory list and verify it.
5. Get a recent property survey and have your attorney review it.
6. Make sure the title is valid and that any liens are disclosed and verified.
7. Know your due diligence timeline so that you will be prepared to give formal notice before the expiration date to get your earnest money refunded, if that turns out to be necessary.

Your due diligence activities will fall into two categories: financial and physical. As there are almost no expenses associated with the financial side, I think it's a good idea to start there. If everything checks out, you can move to the physical.

There is one additional category to due diligence that you will get underway once you have verified the financials, and that is to engage your attorney to oversee the title and survey work and the remaining contractual activities.

FINANCIAL DUE DILIGENCE

I suggest you craft a letter to the seller, detailing all of the information you will need to review. I have included a sample letter in the Appendix. The following is a list that I use to make sure I don't miss any important information:

1. Copies of the past two years' income and expense statements, including the year-to-date statements.
2. Most recent bank statements covering the past 3 months.
3. Recent two years and current rent roll detailing the security deposit amounts that have been collected.
4. Copies of all tenant leases, including pending leases.
5. Copies of all seller-paid utility bills for the past one to two years, depending on the size of the property.
6. Copies of all current service contracts.
7. Copies of the past two years' property tax and insurance invoices.
8. A report with any insurance claims paid to the seller.
9. A copy of the most recent survey of the property.
10. A list of all capital expenditures for the past two years and current year-to-date.
11. To the degree that they exist, copies of architectural, engineering, and feasibility studies as to the condition of the property, and Property and Environmental Reports (i.e. Phase I)

The above listed items are generally mailed to you. The Purchase and Sale Agreement should detail this required information and state a time frame in which it must be delivered. Target seven days from the effective date of the

Agreement, and go from there if the seller counters.

Okay, once you have received all of the information, what do you do with it?

Bank Statements

Begin with the bank statements and compare them to the income and expense statements. Make sure that, in general, the amount that was deposited each month matches the income that was reported for that month, and that the amount that they listed on the expense statements matches the checks they wrote.

Do this for each of the three months of bank statements.

You will not be able to match these numbers exactly and you will have to be aware that some expenses are categorized as capital expenses and will appear under the NOI, but you want to make sure that all the figures are in the ballpark. If they are not, request another three months of bank statements (immediately prior to the three you already have).

If there are major discrepancies between the bank account statements and the financials the seller provided, you need to find out why. There could be a valid reason, but in general this is a red flag as usually the discrepancy is not in your favor and the seller may have overstated the NOI for the property.

This happened to me once, and after a conference call with the seller, she admitted that she accepted cash for rent payments and pocketed the money while reporting it as income on the property. There are a number of reasons why this is a no-no, least of which was that I had no way to verify the real income. This was not a good beginning to a sound investment, and I walked away from the deal.

Income and Expense Statements

Your next step is to review the financial statements. Here you are looking for trends, patterns, and anything that jumps out at you. To do this you will need the statements broken down by month. Look through the reports carefully and write down any questions you have. There are no silly questions when it comes to the financials. You should be comfortable and knowledgeable with everything that's been presented to you.

If the financials simply indicate a lump sum amount for the year, the information is almost useless. Do not hesitate to demand the monthly breakdown. A seller who will not provide it is likely hiding something and you might as well walk away now.

The Rent Roll

This report gives you the details of each unit that is leased, and should accurately reflect the terms on each lease agreement. Landlords use this report to make sure that everyone pays the correct rental amount and any other charges that are applicable such as parking, utility expenses, or pet fees.

You should cross-reference the dollar amounts (total dollars) to the income statements. Again, this will not match exactly because not every tenant pays the rent on time, but you should be in the general vicinity.

The rent roll will also tell you how much money is being held as security deposits. These funds must be turned over to you at closing.

Tenant Leases

You should receive a copy of all tenant leases in effect. You should perform an audit and match the terms of the lease agreements to the terms detailed on the rent roll. Sometimes when purchasing a larger property, you will visit the management office and conduct this audit on-site.

It is very common to find mistakes, and that is not generally a problem. However, note the discrepancies and question the seller to resolve them. If there is a major discrepancy, this can impact the terms of the deal.

Also, make sure you can live with all of the terms in the lease. Because you are buying the property you inherit all of the leases and language and terms in those leases.

Utilities

Again, here we want to match the amount on the bills to the amount paid according to the income and expense statements. Utility expenses can comprise a significant expense and we want to make sure we verify these amounts.

OPERATIONAL DUE DILIGENCE

Service Contracts

Review these documents using the form that is provided in the Appendix. You want to make sure you understand any obligations that come with the property and all the terms associated with each contract.

Property Tax Bills

Take a look at the past two years of property tax bills, and then I suggest you go to the county assessor's website using the account numbers from the invoices to see if the assessment has changed since the most recent tax bill.

Note the differential between the current assessed value and the price you are paying for the property. If this is a large amount, be prepared for your assessed value to increase significantly after you purchase the property, which means your property tax expense will increase as well.

Depending on your city and state, you can hire a property tax consultant to protest this increase, but if your assessor is armed with recent sales information, this is an argument you may not win. Although, in my days as a property manager, I once got an assessment reduced when we argued that my owner paid too much for the property!

> ***Secret TIP:*** If researching all of this seems like a huge time commitment, depending on the size of the property, you are right. Consider hiring an administrative assistant or a local college business major to tackle some of this under your direction. Or maybe a husband, wife, son, or daughter would be interested in working with you in your "family business" and can follow through on all these details.

Insurance Invoices and Claims

Review the invoices for property and liability insurance. It is very important to get a claims history from the seller. You should be aware of any claims submitted by the owner (referred to as a loss run). The greater the number of claims, the harder it will be to obtain competitive insurance quotes. Request

that the loss run be submitted to you in writing. If there are few or no claims, hang on to this report in the event that you need it in the future.

If the report is favorable you can produce it to your insurance agent to show a greater length of positive history on the property. Also, the report can prove to be very useful if there are unexpected claims in the first few years of your ownership and you want to add positive history to create a more favorable picture overall.

I had an incident involving a property I purchased that proved the value of this report. An individual who was not a tenant, but who lived at a nearby complex, kept coming over to our property to set fires. He was eventually caught, but it caused some major problems with our insurance company and they increased our premium. We were able to obtain new insurance quotes for the property after everything calmed down and the arsonist was no longer a threat. Armed with a perfect loss run prior to the arsonist damaging the property, we were able to obtain competitive quotes.

Recent Property Survey

If the seller has a recent survey, it may save you the expense of paying for a new one. You will want to have your attorney review it first. Then you will provide a copy to your lender who will make the ultimate decision as to whether they will accept the existing survey, or whether a new survey will need to be completed. Usually if you have lender involved, they may ask for an updated survey. The most comprehensive survey for investment properties is an American Land Title Association (ALTA) survey.

Capital Improvements

This report will tell you what has been done to improve the property, or, if very little has been completed, this can be a red flag (unless, of course, the property was just built). It will also highlight any potential warranties such as new roof warranties that you will want to have submitted to you at closing.

It may also show operations issues, such as expenses for underground pipe repair or frequent repairs to patch the roof. Is there a pattern to the number of air conditioning condensing units that are replaced each summer? Think about

how these expenses fit within your proforma (your financial projections). Do you feel that you have properly anticipated these expenses?

Local governmental laws or regulations

It is important that you know all of the governing districts in which your property resides as this can influence how you operate the property and the level of property taxation, which affects the cost of operating the property. Make sure to find out if there are any specific programs that you would be required to conduct, such as special screening of tenants or laws that would require you to spend money on the property to bring it into compliance.

For instance, I have a client that bought an apartment project within a municipality that conducts annual inspections of the property. It is difficult to put off spending money on items when you know that an inspector is walking through your units each year. This is not a bad thing. We view it as a way to keep our property in the best possible condition. However, we must budget accordingly.

Another example concerns whether your property meets current building codes. Many times older properties will be "grandfathered" from meeting all of the codes, but some cities will require you to bring items up to current code. This can be very costly if you have an older property with deferred maintenance.

You can use the resources of governmental agents to get information that could be very helpful to you. For example, before committing to a property, it's a good idea to contact the city offices and ask if there is anything currently pending against the property. Also, the local police department can be helpful in providing area crime statistics.

Third-Party Reports

Your lender will likely require new condition reports, such as an Environmental Phase I report; however, if there are any earlier reports that you can review, they could prove to be very helpful. A Phase I Environmental Site Assessment is a report that identifies potential or existing environmental contamination liabilities.

PHYSICAL DUE DILIGENCE

I cannot stress strongly enough the importance of proper inspections of the property. As I detailed in Chapter 6, you should have a qualified, licensed property inspector on your team. This person should inspect the property from top to bottom, including roofs, structural integrity, and mechanical and plumbing systems. My inspector works directly with a termite inspector and I make that a part of every inspection. However, no matter how good your inspector is, conventional lenders will sometimes require their own inspection as well.

As I said earlier, you want to find an inspector who is thorough and competent, but you don't want someone who may amplify the situation – someone I think of as a deal killer. Even so, your inspector will likely find many things "wrong" with the property, and you may even begin to second-guess yourself. This is normal. Just keep in mind that the inspector is only doing his job. If he doesn't disclose what he finds, you could come back to him later with your grievances.

When I first started buying properties, these inspections were often overwhelming and depressing. Of course, there were cases where some truly bad properties were exposed – thank goodness – and I walked away from them. Over time, my inspector and I have worked out my tolerance level for repairs while making sure the big-ticket items are highlighted.

I usually get with my inspector and we review the report together, lumping his findings into three categories:

- What I will try to get the seller to pay for
- What I know I will need to correct immediately or over time, and
- What I am not going to address at all as it is minor or customary for this type or age of property. These are items that the inspector is duty-bound to report but that do not impact the deal.

If you choose to address items with the seller, you have two ways of approaching him/her:

1. You can request that the seller fix, repair, or replace the items, or
2. You can request a "repair credit." This is when you assign a dollar amount to each of the items and ask the seller to discount the agreed upon sale price by that amount.

The latter option is more commonly used in these types of transactions, as it allows the process to move forward faster when the buyer handles the repairs after the closing. This approach is often called "re-trading."

Just be careful to ask for what you think is fair and focus on items the average investor would not have seen or taken into account when he/she made their initial offer. You are not likely to be successful asking for a repair credit to paint the exterior of the property and replace the rotting wood when these issues are plainly obvious to anyone who drives by the property. However, if the property inspection reveals that all of the HVAC units were hooked up to the electrical panels in an unsafe manner, that is not something the average person would have noted.

If there are any unresolved issues, or the due diligence has uncovered problems or shortcomings with the property that are unacceptable to you, you should cancel your contract in writing in accordance with the terms of the Purchase and Sale Agreement. I suggest you consult with your attorney to make sure you properly terminate the contract to avoid any disputes over the return of your earnest money.

If your inspections did not uncover problems and you are comfortable with the findings of your due diligence, it is time to order your title work and survey (assuming you do not have a recent survey in your possession).

Just remember that proper due diligence is an opportunity to sweeten the deal and have the seller pay for previously uncovered deficiencies. Don't miss your opportunity to enhance your deal!

CHAPTER 14

Financing and Closing

One of your most powerful investment tools is the ability to leverage your money. This means you can use a smaller amount of money (the down payment on a loan) to control an asset of much greater value (the property you buy with it).

The ability to leverage funds in this way is what sets real estate investments apart from almost every other investment option: we are able to use just a little of our own cash to accomplish our larger financial goals. It also means we are able to take the first gains from one investment and then reinvest it in another property. This is definitely a positive cycle to be able to establish.

In this chapter we'll look at the various types of financing that are available to you. Then we'll finish by looking at what is involved in closing on a property.

Types of Loans

A **conventional loan** is any mortgage that is not guaranteed or insured by the federal government. Almost any type of loan, if not issued by a government entity, is considered a conventional loan.

Although a conventional loan is not insured or guaranteed by the government, it may still follow the guidelines of government sponsored enterprises (GSE's) such as Fannie Mae or Freddie Mac. If the loan does follow these guidelines, it is referred to as a conforming loan. However conventional loans are not required to follow these guidelines, and if they don't they are referred to as non-conforming loans.

Conventional loans can be categorized as fixed-rate mortgages, adjustable-rate mortgages, balloon mortgages, or hybrid loans.

With **fixed-rate mortgages** the interest rate established at the beginning never changes throughout the life of the loan. You always know exactly how much

your monthly payment will be.

With a conventional **adjustable-rate mortgage** (ARM), the initial interest rate and monthly payments are low, but the lender has the option of changing the rate (usually by raising it) at some point during the life of the loan. Conventional ARMs are offered with initial fixed rate periods of 3 years, 5 years, 7 years, or 10 years.

Balloon mortgages are short-term mortgages that have some features of a fixed-rate mortgage. These loans provide a level payment feature during the term of the loan, but as opposed to the 30-year fixed rate mortgage, balloon loans do not fully amortize (pay off the loan) over the original term. The result is that at the end of the loan term there is still a remaining principal loan balance and the mortgage company generally requires that the loan be paid in full in one lump sum. Balloon loans can have many different types of maturities, but most balloons have a term of 5 to 7 years.

A **hybrid mortgage** is sometimes called an intermediate ARM, a fixed-period ARM, or a multiyear mortgage. A hybrid mortgage combines aspects of fixed-rate and adjustable-rate mortgages.

The Down Payment

Before you can determine how much financing you will need, you first must calculate how much of a down payment you are willing and able to pay. Personally, I prefer to put down the minimum amount possible, and in today's lending environment that can mean anywhere from 5 - 30%. Once you know the cost of the property and the size of your down payment, you'll know exactly how much you will need to borrow. If you need additional funds to purchase, consider private lenders/investors who may be interested in partnering with you and providing funds.

Underwriting

Mortgage underwriters assess the financial ability of a loan borrower to repay the loan. Their services are used to protect the lender. Understanding how underwriters will evaluate you can help you prepare to apply for a loan on a

commercial property.

Commercial loan underwriting guidelines are more detailed, in-depth, and restrictive than those for a home mortgage loan. When you are evaluated for a residential loan, the underwriter focuses mostly on your personal finances. But commercial loan underwriting guidelines go beyond the basic criteria. In addition to the personal finances of the borrower, the property's financial performance is evaluated. Here are some of the factors the underwriter will consider:

Debt Service Coverage Ratio (DSCR)

The first thing a commercial loan underwriter will review is the Debt Service Coverage Ratio (DSCR) of the property under consideration. This is a comparison between the monthly income of the property and the monthly debt payment on it.

Commercial loan underwriting guidelines will derail a commercial loan if the DSCR is too low. If the ratio is less than 1:1, that means the property has negative cash flow, and it will not be considered for a loan.

In my purchases, I see that lenders are looking for a minimum DSCR of 1:1.25. However, in my own deals I prefer to see a DSCR of 1:2.00, which means the property provides enough income to pay the mortgage expense, and provides an additional equivalent amount of money that I can put in my pocket (perhaps to use to buy another property). The 1:2.00 ratio I would prefer to come from a lower Loan to Value instead of a higher loan to value an an exaggerated net operating income.

Loan-to-Value Ratio

Commercial loan underwriting will calculate the loan-to-value ratio on an investment property to determine the maximum amount they will be willing to lend on the property.

The loan-to-value ratio is calculated like this:

$$\text{Loan-to-Value Ratio} = \frac{\text{Loan Amount}}{\text{Appraised Value of the Asset}}$$

Or, solving for the loan amount:

Loan Amount = Loan-to-Value Ratio X Property Appraised Value

Usually the underwriter will have an acceptable loan-to-value ratio in mind, for example 80%. So, if the loan-to-value ratio offered from the lender is 80%, that means a loan will be considered for no more than 80 percent of the property's current market value. It also means the borrower will need to have 20 percent equity in the property – that is, a down payment of 20%.

Loan to Cost

Sometimes a conservative lender may want to go on a loan to cost basis. In this instance, lets say that you are buying a property for $160,000 that is worth $200,000. The lender has decided to take a conservative 80 percent of cost approach. The lender would lend 80 percent of $160,000 or $128,000 instead of 80 percent of value which would be $160,000.

Evaluation of the Property

Beyond the Debt Service Coverage Ratio of the property, loan underwriting includes an evaluation of the current market value of the property. This takes into account the property's age, location, type of roof and condition, etc.

Evaluation of Tenants

Finally, commercial loan underwriting guidelines may call for an evaluation of tenants in the commercial property under consideration. Underwriters will look at the historic occupancy rate for the property and surrounding properties. They will examine the leases in place. This is particularly true for properties that have a high number of Section 8 tenants (residents whose rent is partially or completely paid by the Housing Choice Voucher program - a federal program that authorizes the payment of rental housing assistance to private landlords), students, or leases secured by a company or business.

For instance, I recently looked at a property that had 95% of its units leased to

an aviation school. It was a great property in an excellent market and 100% leased; however, no lender would touch it because they didn't like the risk of the aviation company terminating their relationship and leaving the property empty.

Recourse or Non-recourse

It is generally the practice of lenders to require full (yourself), joint (with spouse), and several (with business partners) personal recourse in which you are personally responsible for any default on the loan, and that the lender may seek to recover any loss from the personal assets of the owner. Whenever possible, seek a loan which does not require your personal guarantee.

Other funding options

Whether you have all the cash in the world or not, it is always a good idea to get financing so you can work with as little of your own money as possible. Why? It has to do with the principle of leverage we mentioned earlier. Let's look at an example.

Suppose two men each have $200,000 to invest, and they've identified a number of properties that can be bought for $200,000 each. One man pays $200,000 cash for one property. The other puts 20% down ($40,000) on each of five properties, and finances the rest. He controls five properties for the same amount of money the first man invested.

One year later, values in the area have increased and all the properties are now worth $300,000. The men sell all the properties. The first man, who paid cash, earns $100,000 on his $200,000 investment, for a gain of 50%. That's not bad. But, the second man earns $100,000 on each of his five properties for a total of $500,000 made on his $200,000 investment – a gain of 250%! The second man was able to leverage gains five times greater than the first man saw. And that's not even counting the gains from collecting five times the rent during that year.

Taking advantage of financing options enables you to participate in as many properties as possible, and this will increase your results exponentially. So let's look at what some of these options are.

Seller Financing

This is every investor's dream! Although it is somewhat difficult to achieve, these deals are out there. Whenever I am dealing with a seller who is a sole individual, I ask if he/she would consider providing owner financing.

In my management days I had a painting contractor who did a great deal of work for me. Despite this close working relationship, I always made him provide me with a bid before I would award the work to him. As soon as I described the job, he would always say without hesitation, "$50,000!" (Keep in mind, I never had a job that paid him more than $5,000.) I would just chuckle and say, "try again." He kept this up each time I asked for a bid. When I asked him why he kept saying $50,000, he said he only needed someone to say "yes" just once to make it worthwhile for him to say it every time!

So, I always ask for seller financing – no matter how many times other sellers have said "no."

There are a couple of ways to put seller financing in place.

With one form of seller financing, the seller takes on the role of the lender. This is an option when there is currently no mortgage on the property. Instead of requiring the total price in cash from the buyer, the seller extends enough credit to the buyer to cover the purchase price of the property, minus any down payment. The buyer and seller sign a promissory note (which contains the terms of the loan). They record a mortgage (or "deed of trust" in some states) with the local public records authority. Then the buyer pays back the loan over time, typically with interest.

Another strategy is to have the seller provide a second mortgage. This can be helpful, as lenders are requiring larger down payments these days. Sellers can potentially extend credit to buyers so their first mortgage will be smaller and will not require as large a down payment: The seller can carry a second mortgage for the balance of the purchase price, less any down payment required for the second mortgage. In this case, the seller immediately receives the proceeds from the first mortgage from the buyer's first mortgage lender.

However, the seller's risk in carrying a second mortgage is that he or she accepts a lower priority should the borrower default. In the event of a foreclosure, the seller's second mortgage is paid only after the first mortgage lender is paid off and only if there are sufficient proceeds from the sale. Another risk to the completion of the deal is that the bank may not agree to make a loan to someone carrying so much debt.

There are many ways to be creative in this situation but were are a few ways to structure a second mortgage:

1. Interest-only payments amortized over 20-30 years until balloon payment in 1-5 years. [Here you pay interest only (no principal) until the balloon payment is due.]
2. Principal and interest payments, over 20-30 years with a balloon payment in 1-5 years. [Remember that amortization is used to calculate the amount of the payment. In this instance, payments reflect having 20-30 years to pay and the outstanding balance is paid at the end of 5 years. The greater number of years, the smaller the payment.]
3. Principal and interest payments using a fixed interest rate with straight-line payments over a specified term.

Private Money

You may have friends or family members who want to invest money to receive a certain level of return or a pre-determined return that's backed by commercial real estate. Perhaps investing with you will benefit both of you. My recommendation here is to ask once; they will be interested or not and you should leave it there. You do not want to strain any relationships.

Another approach to keep in mind is to use IRA funds. Approximately fifty percent of my investors tap into their IRA funds to participate in my investments. This is an excellent match for funds that are under-performing, especially given the longer-term commitment associated with commercial real estate (usually plus or minus five years) and could be a good option for friends or family who want to invest with you.

You can approach them by asking, “Do you have an IRA or other investment accounts that are generating more than 10% annual return?”

If they answer that they do not, let them know you buy, sell, and hold multi-family apartment properties and occasionally work with partners. See if they are interested, but again, don’t push it.

Another source of funds can come from like-minded individuals you may meet at your local real estate investment groups. Also, make a mental inventory of your circle of influence, by which I mean those individuals who are a part of your everyday world: your doctor, dentist, or hairstylist. An investor friend of mine told me that his car mechanic once asked him what he did for a living, and after hearing about how he worked with investors, the mechanic told him he had $100,000 from an insurance settlement and was looking to invest but didn’t know where to start! Don’t assume people do not have money just because they have grease on their hands.

You can structure these private money loans in many ways, and you should work with your attorney on the details, however, in general, you can structure these investors as either (1) debt partnership or (2) equity partnership.

In a debt partnership, the investor will invest money in exchange for an agreed-upon, guaranteed interest rate. These investors will be paid first in any scenario.

In an equity partnership, the investors will receive a portion of the profits after the “hold” period and at resale. There is no guaranteed return, but they also get to participate in the appreciation (commonly referred to as “the upside”) of the property.

There are legal documents required for each of these types of investors and your attorney can make sure you document the investment properly.

Partners

Your partners are individuals who participate by putting in a certain amount of cash. They receive the same benefits as you do, prorated based on the percentage they hold in the property. For instance, the proceeds might be split

50/50, or if you are doing more of the work, it might be 70/30. Each deal has a unique structure.

Bridge/Mezzanine Loans

A bridge loan is interim financing for an individual or business until permanent financing, or the next stage of financing, can be obtained. These loans tend to be very expensive, but they can be an effective way to acquire a distressed property that has a high degree of potential, or when you need to purchase a property quickly.

Closing Details

Your attorney and realtor will be the source of any support you need through the closing process. Just make sure you stay on top of all the details, make sure everyone involved is taking care of their responsibilities, and understand any items that are on your side of the table.

You should give some thought to the type of ownership entity you want to use to hold your property. I prefer a single-entity Limited Liability Company (LLC) for each property I purchase. Alternatively, it may be perfectly fine to lump all of your properties into a single LLC.

You can also purchase using a Limited Partnership, a sub-chapter S corporation, or sole-proprietorship. However, in terms of minimizing your liability and exposing any other assets you own, the most popular and commonly used entity is the Limited Liability Company(At least for Americans). An LLC exists as a separate entity much like a corporation, and LLC owners have the liability protection of a corporation. Members cannot be held personally liable for debts unless they have signed a personal guarantee.

Secret TIP: In an LLC, all your business losses, profits, and expenses flow through the company to the individual members. In this way you avoid the double taxation of paying corporate tax and individual tax.

Finally, you will need to insure your property. Make sure your insurance agent

is ready to bind your policy. And be sure you carefully scrutinize your settlement statement for accuracy. Verify all the numbers on your side of the statement.

Now, all the details have been handled and you're ready to close on your investment property. Get ready to sign a large number of documents. But soon, tenants will be signing rent checks made out to you!

CHAPTER 15

Filling Your Property with Tenants

To a certain degree, it's always possible to control the expenses of a property, but if we don't maximize the income we get from it, our investment can quickly turn into a losing proposition. I've never seen a distressed property for sale where the problem was expenses that got out of control. The problem always starts when income goes down because units are empty. And when you own larger properties with many units, the turnover can be significant.

But having empty units is a completely avoidable situation if you do what is necessary to make sure you have a constant stream of prospective tenants coming to your property – and maybe even a waiting list for units that may become available. Putting yourself in a position where you are able to fill empty units quickly is the key to maintaining a steady income from your investment. And that takes consistent, ongoing marketing.

Marketing Programs

Here are some basic marketing programs that you should be running concurrently – and all the time – as part of your overall marketing plan. This will keep up constant interest in your property so you can keep your units filled.

Distributing Flyers to Area Establishments

You will find this to be one of your most effective and inexpensive marketing programs as it targets people who already live, work, eat, shop or go to school nearby. Create flyers and stock them on the counters or put them on the bulletin boards of stores, community centers, and other places where they will be seen by your target population.

The flyers must be enticing and you should change the look and contents of the flyers often so that they will always attract interest. List all the benefits and amenities your property offers in clear bulleted format. Ideally the flyer should

give prospective tenants a reason to come to your property, such as offering an inexpensive free give away.

Resident Referral Programs

Often called "Choose your Neighbor," these programs offer incentives (such as cash bonuses or a rent reduction) to current residents who refer future residents. I suggest you do not provide the bonus to your existing residents until after their referrals have paid their rent on time for three months.

Signage

The signs in front of your property are like a 24-hour billboard. Make sure you maximize your signage options, including small directional signs, banners, and flags – anything that calls attention to your property in a tasteful way. And keep your signs in good shape. If your monument sign (a large free-standing sign) is outdated, potential residents will assume your units are dated, too.

There may be local rules that regulate the use of signs (such as limitations on size and lighting), so make sure you are in compliance before buying signs that you may not be able to use.

The Housing Authority

Your local Housing Authority may be looking for units for the needy, and they may subsidize their rent. You may not want to have a large number of such tenants who receive rental vouchers from the Housing Authority, but you may find it an effective strategy to get some traffic from this source, as it may enable you to get some units filled quickly.

Rental Guides

These printed guides are widely distributed and eagerly studied by individuals in need of housing. Now, they are also available as an on-line product via a website and ads can be bought for this site. Advertising in these guides can be somewhat expensive; however, these publications are dedicated solely to apartment properties and can help you effectively reach your target audience.

If you run an ad in one of these publications, make sure you track any leads coming from this advertising by inquiring where prospective tenants heard about you. The bottom line is that this approach may actually be quite cost-effective if it leads to you getting tenants quickly.

Internet

The Internet offers advertising options on websites that are free to advertisers, and sites with nominal fees. These sites are often visited by apartment hunters. For the money, I like using Craigslist.com because it gets so much traffic. It is important to keep your postings current to have the best results on Craigslist. Postings are automatically dropped within a few weeks, so be prepared to keep re-posting.

I also suggest you consider creating your own website where you can have pictures and information about the property, and advertise specials and available units. Many people go online first to do their research, and just having an online presence adds another level of status to your property. This will give your property the appearance of being well-run and up to date.

Hiring a professional web designer to create your website is one option. But if you are budget-minded, you can build your own website using platforms such as Snappages.com, which charges a monthly fee for hosting. You can use their templates to create your own site and save on web design fees.

A real bargain may be found at www.fiverr.com. This site is filled with things that people will do for $5.00.

Classified Advertisements

Many areas have local and neighborhood newspapers where you can place an ad. In addition to the local newspaper, you might consider popular ad-based publications such as Penny Saver and Thrifty Nickel.

Rent Locators

You can use the services of a company that specializes in renting out

properties. These agencies charge a fee; however, they will prescreen your prospective residents for you, and you only have to pay for individuals who actually end up leasing from you.

Tracking

Advertising can be expensive. When you want to rent units quickly, you want to make sure your marketing methods are effective. It is important for your manager to track the results of each of these programs so that you know what is working and what isn't. Only when you have this information can you direct your advertising dollars to the most effective programs.

For instance, I once ran identical ads in a local newspaper, except that one ad was in English and the other one was in Spanish. I added a different extension number to the phone number listed on each ad to use as an identification code. When prospects called our office, the manager asked which extension number they needed (although we don't actually have extensions). Before long it became clear that all of our prospects were calling from the English ads, and we stopped spending money on the Spanish-language ads.

Fair Housing

The Office of Fair Housing and Equal Opportunity (FHEO) administers and enforces federal laws and establishes policies that make sure all Americans have equal access to the housing of their choice. It is critical that your advertising falls within their guidelines.

If you employ a management company, make sure that they are well educated on the do's and don'ts of what you can say and do (or must not say or do) when looking for prospective tenants. Seemingly innocent claims we make about our property – such as "family-friendly large units," could be conceived as discriminatory.

If you are writing these ads yourself, I suggest you stick to the features and benefits of the property. So, instead of saying "family-friendly large units," you would simply say "large, spacious units."

***Secret Tip*:** The more ads you buy in a publication, the lower your rate will be per ad. And everything is negotiable. Don't be afraid to ask for a bigger ad for the money, or better placement, or even cheaper rates than they generally offer for multiple runs. Also, see if you can get an occasional article highlighting your property. Possible topics: You are remodeling a classic building; you won a beautification award from the city; your tenants joined together to earn money for a charity. Use your imagination! A newspaper article may attract even more attention than an ad.

CHAPTER 16

Formalizing Your Apartment Business

We have already talked about the preferred entity structure under which to own your properties – a Limited Liability Company.

Depending on how much you anticipate growing your apartment business, you may consider creating an entity such as an LLC, under which you will conduct all of your business/investing activities. Doing business as XYZ, LLC appears much more professional than doing business individually as John Smith, and it can elevate your status when you are presenting offers and working with brokers and lenders.

If you create a business entity, I also suggest having a simple logo designed for your use on correspondence such as letterhead. You don't have to have a letterhead printed if you have a limited budget, but in this electronic age, you can add your logo to a Word document or to your emails to make a professional impression. Again, you might consider www.fiverr.com for creating an inexpensive logo.

I also suggest having a dedicated e-mail address such as John @XYZCompany.com as opposed to a Gmail or Yahoo address. It implies that you have committed yourself to this business and are the "real deal," and not just someone dabbling in real estate who is using a free, temporary email address.

A dedicated phone line is also preferred, although in this day and age of the ubiquitous cell phone, it is not required. Just make sure you always answer professionally by stating your name and possibly your business name. And don't answer your phone if you are not in a quiet, professional environment.

Private Money

The more money you have available to purchase properties, the quicker you can grow your business. If you don't have the money yourself, you can

accelerate your success in the investment arena by getting other investors to join with you by practicing syndication. This is a way to use private money (think of it as real estate venture capital money) that you receive from private investors who are generally prepared to take on a certain degree of risk in investments – as long as you do all the work.

Especially after you have proven yourself by closing a few deals, this is a great way to pool capital from multiple people and be able to acquire larger properties.

One of the key pieces to my own success came when I was able to cultivate private investors to invest with me in purchasing properties with greater upside and potential than I would have been able to acquire on my own.

A word of caution is in order here as there are strict guidelines you must follow when doing business this way. If you wish to take this route, I strongly suggest hiring an SEC attorney to help you navigate these waters.

Here are a few points to emphasize when working with investors – either as partners or in syndication:

Documentation

Always provide all the proper documents with all the relevant disclosures. Make sure your investors understand these documents, the strategy for the investment, and your role and responsibility throughout the "hold" period.

Build trust

Full disclosure is a large part of it, but trust goes beyond disclosure. You should have a genuine commitment to making the returns you projected and being a good steward of your property. Communicate, communicate, communicate. Send e-mails, photos, videos, and executive summaries, and hold periodic conference calls about the properties you have invested in.

Always build your investor base

The more you network, the more potential investors you will have. If you have satisfied investors, be sure to ask them for referrals.

IRA Strategies

You can use your IRA to help fund your real estate investments by converting it to a selfdirected IRA. When you open a self-directed IRA, you retain the authority to choose your investments, as opposed to IRAs that are managed by a broker or other financial professional.

Using IRA funds to invest in apartment properties is a great way to increase your ability to purchase larger properties. About fifty percent of the investors who have invested in my properties use funds from their IRA accounts.

When you consider the low returns most IRA accounts are achieving today in traditional investments, and the fact that these accounts are engineered for a longer-term ownership period, using these funds to purchase apartment properties is a perfect match. Make sure you are speaking with your friends and family about this option and they may be interested in investing their IRA funds in your investment.

A self-directed IRA must have a custodian who is responsible for the administration of the account. Traditional, Roth IRAs as well as vested 401K accounts can be converted to 'selfdirected' IRAs by working with a qualified custodian. There are many companies out there that provide this service and can help you set up these accounts. Equity Trust Company, Pensco, and Entrust are three of the larger companies, but there are many others including smaller, local organizations.

These companies can walk you or your investor through the process step-by-step. It is truly a win-win situation: you have more funds to buy larger, more efficient properties, and you (and/or your investors) can receive a larger return than that offered by the alternatives.

Partnering for Greater Output

I am a huge proponent of working with at least one partner. I work with two

partners, and I credit them as being a big part of my success. However, working with people in a competitive environment can be difficult. Therefore, I suggest that you don't formalize your partnership until you have completed a deal or two and can see how your interests and characteristics mesh. I worked on a per-deal basis for a long time before my partners and I formalized our commitment as a team.

Think of your partnership as a merger of companies and proceed cautiously. Here are some things to do when you begin looking for and working with partners.

1. Ask for the opinion of other people who are familiar with your prospective partner. If you are going to work with a partner investor, it's important to do a little background research. Make sure your goals are aligned and that you both have a similar approach to investing and management.

2. Have an honest discussion about what each of you can bring to the table: money, experience, credit history, how much time you will each dedicate to the business. Discuss each of your responsibilities.

3. Do their strengths compensate for your weaknesses and vice versa? Do you complement each other and will your styles of management work together?

4. Are they actively involved in the business? Are they willing to become more involved in growing the business? Are they willing to continue their education along the way?

***Secret Tip*:** Working with others – especially where money is involved – can change the nature of a relationship. It also gives you the opportunity to learn a lot about yourself. Sometimes you have to compromise. Sometimes it's better to stand your ground. Always keep in mind that the primary goal for all of you is to increase the profitability of your business. Staying objective and remembering what's really important is critical to your success.

CHAPTER 17

Three Steps to Take – Starting Now!

Remember the Alka Seltzer commercial, "I can't believe I ate the whole thing"? Well, you may be feeling like this is a lot of information to digest, but trust me – in practice, this is a process that you will only have to take one bite at a time, and you will learn along the way. Use this book as your road map!

I suggest you make a list of the items you need to complete in the next month and break down your desired accomplishments by each week of the month. Put your goals right on your calendar.

Start with the self-assessment we looked at back in Chapter 3. This will be a guide for your investing career, pointing out resources you have or can turn to, or highlighting deficiencies that you can easily overcome.

When I started in this industry, there were a number of things I was lacking and the solutions didn't appear overnight. But taking proper personal inventory – knowing what I needed to do and what needed to get lined up – helped me correct these areas.

Hopefully you have read this Book from cover to cover. It should be a valuable reference guide to you throughout the process. Keep it handy and revisit it after you begin your business. Also, be sure to use the resources in the Appendix.

Three Steps to Success

Getting started, and persisting at this new business, will lead you to the success you want. Here are three steps you can take all the way to the bank!

1. Set a Goal
Start off by setting one attainable purchase goal, e.g., "I will purchase 4 units by the end of the year." Write it down and place it where you can see in your office or wherever it is you work on this new business.

2. Educate Yourself Every Day.
I once read an article about how millionaires constantly educate themselves. Even at night, while the rest of the world is watching TV, they are reading about their industry or the next revolutionary breakthrough on the horizon. They are disciplined students in every aspect of their business.

Every time you read the newspaper, and everyone you meet, has the power to teach you something that you can use to speed your progress. Be open to all the invaluable information you come upon every day.

3. Take Action
You've heard the term a hundred times but it is so true. Nothing will happen until you take action.

When I was starting out, I told myself that I had to do SOMETHING every day. And as I did something everyday, it eventually led to progress, which eventually led to making contact with one very helpful person, which led to another person, which led to a property, which led to a deal. And that first deal was the beginning of my whole new career.

If you will take action, you will take charge of every aspect of your life.

Dan Kennedy, the "Millionaire Maker," has a wonderful quote, which goes, "You will continue to be un-_____ as long as you depend on others to make you _____."

He gives examples:

"You will continue to be unimportant as long as you depend on others to make you feel important."

Or,

"You will continue to be un-prosperous as long as you depend on others to make you prosperous."

You get the idea. The take-away is control = responsibility, responsibility =

control.

Everybody wants more control. You want more control over your career, your finances, your time, and your lifestyle.

So take control. Make offers – at least two a week.

I remember my first deal. I stood at the fax machine for ten minutes when I sent my first Letter of Intent (I know that no one faxes anything these days, but back then that's what we did). It probably took me an hour just to type it up.

Now I can write an offer in two minutes, and of course I don't have to use the fax machine. Soon, we will do it all on our smart phones. ☺

But I started out just like you. That's why I know that you can get there quickly too.

Finally, do not be afraid to seek help and assistance at any point along the way. Get a mentor or coach who will make you accountable to keep going. Soon you will prove to yourself that you really can do it!

***Secret Tip*:** You've already come this far. You have all the basic information you need. Take the next step and you will be amazed – and thrilled – to see how everything falls into place!

CHAPTER 18

Why Do Top Performers Use Coaches? (And Why it's Important to Real Estate Investors…)

When Arnold Palmer needed to "tune-up" his game, to compensate for his age, he sought out a 26-year-old "swing coach," Everybody who follows golf knows about the troubles Tiger had with his game after parting with his coach, Butch Harmon. We know most athletes in every sport use coaches, personal trainers, and sports psychologists. But do sales professionals and entrepreneurs need coaches, too?

Having personally had hundreds of high-flying entrepreneurs, small business owners, salespeople, and self-employed professionals participate in my coaching groups and telecoaching programs over the past fifteen years – some for all fifteen years, and been the coach and advisor to professional athletes, doctors, and other business coaches, I think I have a pretty good understanding of why coaching seems to work so well for entrepreneurs, and why you might want a coach of your own. There are six reasons:

- Being Held Accountable
- Being Questioned And Challenged
- Being Listened To
- Being Recognized For Your Achievements
- Being Accepted
- Being Motivated

Different people have different needs at different times in their lives, but I find most entrepreneurs share all six of these to varying degrees.

Accountability

On many occasions, as a speaker, I was on programs with, and had private "green room" time with legendary athletes like Joe Montana, Troy Aikman, Olympian Mary Lou Retton, George Foreman, and coaches like Tom Landry, Lou Holtz, and Jimmy Johnson. The athletes all agreed that high performers

personally hold themselves to gruelingly high standards, but even so, were it not for feeling accountable to teammates, fans, and coaches, and being held accountable by their coach or coaches, who monitored their statistics, replayed film of misjudgments and mistakes, and analyzed and assessed their performance, they would never have reached the levels of success they did. The joke of entrepreneurship is good news and bad news: You're your own boss! Having a coach guide you in committing to doing, changing, testing certain things between now and the next call or meeting, then having you report on those things, is guaranteed to improve your follow-through on your own best ideas! In short, accountability automatically improves performance and results. My system incorporates accountability so that not only do I have an idea about on-going accomplishments, but my clients knows I'm watching as well. It is amazing what is accomplished when you know your "coach" is always watching.

Being Questioned and Challenged

The more successful you are, the less likely the people who work for you or who are around all the time are to challenge your ideas. It's easy to wind up surrounded by "yes men." The outside coach with no axe to grind can be both objective and frank. He can ask the provocative questions that force you to defend your idea. If you can, that's valuable. If you can't, that's valuable too.

I have seen yes men in the corporate world and it is pitiful. What I love about what I do is that I can say things like: "You suck right now! You are better than that!" - I find when you can be completely frank with someone, you get results, because its not hidden in B.S.

Listened To

A Newsweek magazine article about professional business/life coaches described us as "part therapist, part consultant." A lot of entrepreneurs have no one to talk to about business OR personal matters, who they dare "let their hair down with"… who will listen without any agenda. I often find that a client will talk his way to his own terrific answer, solution, or plan of action if I'll just listen. Having a coach with life and business experience relevant to your own, who is personally successful, who can relate to you, and whom you can relate to, is extremely beneficial.

Being Recognized For Your Achievements

Everybody needs recognition and celebration – but to whom can the entrepreneur brag? Certainly not to his employees, his competitors, his vendors. Since most of the people I and the coaches I advise work with are "Renegades," using unorthodox marketing strategies, most of the people around them actually disapprove of a lot of what's working, even if they grudgingly acknowledge the results. And often, if the owner of the business takes the garish black-on-neon green oversize postcard he spent days slaving over, that just pulled a 14 to 1 ROI, home to show his wife and kids, he gets a very disinterested response. A "that's nice, dear" – not a "holy crap! 14 - 1! You're a genius! Can I get a copy of that?" Having a knowledgeable coach, or better yet, being part of a coaching/mastermind group, gives everyone of us an appreciative audience who "get it," who understand our accomplishments, and are able and willing to celebrate our achievements because they are secure in their own success.

Being Accepted

I call my most successful clients (and myself) "Renegade Millionaires" because we violate just about every norm of our industries and professions… we are actually quite dysfunctional in one way or another… we think and talk differently than almost everyone around us in our day-to-day lives. Because of this, a lot of successful entrepreneurs actually suffer silent frustration and loneliness. In many instances, we can't even explain what we do to "civilians"! Feeling like "the fish out of water" most of one's waking hours is not all that pleasant. That's why being part of a coaching/mastermind group with like-minded "Renegades" is so invigorating. One of the core human needs is to be accepted for who you are, without need of mask or cautious editing of expressed thought.

Being Motivated

Surely top pro athletes being paid millions of dollars to play a game don't need to be "motivated" — but actually, the fact that they are paid millions, win, lose, or draw, means they do need a great deal of other motivation to do all the behind-the-scenes hard work required for peak performance on the field. In almost every locker room after every game, grown men who are paid millions to play their games are awarded game balls. Coaches cry, hug, "atta boy!,"

nudge. Ultimately all motivation is self-motivation but there are definitely contributions made by the people and ideas you associate with, the involvements you're in, the successes of others you're exposed to.

A Final Word

Running your own real estate investment business where you purchase and run larger properties is well within your grasp. Chapter by chapter we have examined the challenges you will face, and listed simple steps to take to meet each challenge and accomplish your goals.

Remember, with real estate:

- ✓ One deal can truly change your life!
- ✓ You can start your venture as a full time or part time business.
- ✓ You can work with a partner, spouse or family member.
- ✓ You can create a legacy to pass to future generations.
- ✓ You can be your own boss and achieve consistent paydays with cash flow.
- ✓ Your tenants are paying your mortgage payments.
- ✓ You can receive tax benefits.
- ✓ You will have a big payday when you sell your property!

Right now is the best time to invest in real estate and waiting could cost you money.

- ✓ A record number of foreclosures have turned homeowners into renters.
- ✓ Tightened lending practices means fewer individuals will quality

for home loans for many years to come.

- The effects of the recent recession have reduced the amount of money in individual's savings, stock portfolios, 401(k)s, etc., which will delay purchases of homes.

- Echo Boomers – an estimated 72 million children of the Boomer population are coming of age and will be renters for the next ten years.

- A rapidly growing immigrant and working-class population are in need of affordable housing. This segment of legal immigrants is growing by 1.1 million people per year!

Until you start taking your first steps, you'll never know how simple and straightforward the whole process can be. And once you do get started, you'll soon become comfortable with all the different aspects of the business. You'll get your team together, you'll start identifying properties, and you'll be on your way.

Running your own real estate investment business where you purchase and run larger properties is well within your grasp. Chapter by chapter we have examined the challenges you will face, and listed simple steps to take to meet each challenge and accomplish your goals.

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About John Dessauer

More About Heather and John Dessauer…
In addition to running The Dessauer Group(An entrepreneurial and real estate education company), John and Heather Dessauer are serial investors of their own, and have investments including apartments, single-family homes, office buildings, and raw land. They also have a Property Management/Brokerage firm that assists owner-occupants and investors in the real estate arena. The firm Anton Agency/Anton Asset Management, operates in Illinois, Indiana, North Carolina and Florida.

John and Heather live right outside of Chicago on a 900 acre lake when they are not spending time at their second home in Key West, Florida. Water living is a must for them with their intense work schedules. John has a Bachelor Degree in Biology and Business Administration from St. Ambrose University. Heather has a Bachelors Degree in General Studies/Psychology from Indiana University where she graduated with honors. They have three children, Jordan, Payton and Avi.

Other Books by John Dessauer

Real Estate H2O (Dessauer Publishing 2008)

The Alchemy of Wealth (Dessauer Publishing 2009)

The Twist (Dessauer Publishing 2015)